The Collapse of the Syrian Pound, 2011–2026

Causes, Transmission to Prices and Living Standards, and Options for Stabilisation

A research paper

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Abstract

This paper examines the collapse of the Syrian pound between 2011 and 2026 and asks why a currency that traded at about 47 pounds per US dollar before the uprising averaged roughly 14,800 pounds on the parallel market in 2024, how that depreciation was transmitted to prices, wages and living standards, and what the experience after the fall of the Assad government in December 2024 suggests about stabilisation. The study combines the World Bank's 2025 macro-fiscal annex, monthly parallel-market rates and cost-of-living data from the World Food Programme's market bulletins for 2015 to 2026, official exchange-rate decisions of the Central Bank of Syria, the World Food Programme's market price database, and documentary evidence on sanctions, the Lebanese banking crisis and the 2026 redenomination. Because official Syrian statistics are incomplete and at times contradictory, the paper treats data reliability as a substantive finding rather than a footnote. The analysis shows that the collapse came in distinct phases: a war shock in 2012 and 2013, relative stability between 2016 and 2019, a second and larger collapse triggered by the Lebanese financial crisis and the Caesar Act in 2019 and 2020, and a sequence of devaluations in 2023. Monetary financing of the budget, the loss of oil and export earnings, the depletion of reserves and the freezing of Syrian deposits in Lebanon were the main drivers. Prices came to follow the parallel rather than the official rate, the public-sector minimum wage fell to between about 12 and 26 US dollars a month between 2021 and 2024, and the economy became heavily dollarised and dependent on remittances. After December 2024 the pound appreciated sharply, inflation briefly turned negative, sanctions were lifted and two zeros were removed from the currency on 1 January 2026, yet the parallel rate weakened again during 2026 as the central bank still lacked reserves and a monetary policy framework. The comparison with Lebanon, Zimbabwe, Venezuela and Turkey indicates that redenomination and sanctions relief cannot substitute for fiscal discipline, central bank credibility and a unified, market-clearing exchange rate.

Keywords: Syrian pound, exchange-rate collapse, parallel market, dollarisation, inflation, remittances, sanctions, redenomination, Syria

Plain-Language Summary

In 2010 one US dollar bought about 47 Syrian pounds. In 2024 it bought on average about 14,800 on the open market, which means the pound had lost more than 99 per cent of its value against the dollar. This paper explains how that happened and what it did to ordinary people.

The war that began in 2011 destroyed much of the economy. The government lost most of its oil, tourism and export income, so fewer dollars came into the country. At the same time it kept spending, and it paid for much of that spending by creating new money through the central bank. More pounds chasing fewer dollars pushed the price of the dollar up. Two shocks from outside made things much worse. In late 2019 the banking system in neighbouring Lebanon, where many Syrians kept their savings, froze. In June 2020 new United States sanctions under the Caesar Act came into force. Within months the pound lost most of its remaining value.

For families the result was a collapse in what wages could buy. At the street exchange rate, the official minimum monthly wage was worth only about 12 to 26 US dollars between 2021 and 2024, while a basic food basket for a family of five cost roughly 50 to 80 dollars. People survived by relying on money sent by relatives abroad, by using dollars and Turkish lira instead of pounds, and by cutting meals.

After the Assad government fell in December 2024 the pound strengthened, prices briefly fell and most sanctions were lifted during 2025. On 1 January 2026 the government introduced a "new" pound worth 100 old pounds. The paper argues that these steps helped, but that the currency will stay fragile until the government stops relying on money creation, the central bank rebuilds its reserves and gains real independence, and the official and street exchange rates are brought together and kept together.

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1 Introduction

Few currencies have lost value as quickly and as completely in the twenty-first century as the Syrian pound. On the eve of the uprising in March 2011 the pound traded at about 47 per US dollar (Reuters, 2025b). The World Bank's macro-fiscal assessment records an average market rate of 14,798.9 pounds per dollar for 2024, and observers placed the parallel-market rate at around 22,000 in the chaotic days surrounding the fall of the Assad government on 8 December 2024 (Reuters, 2025a; World Bank, 2025a). Measured from the 2010 average of 46.4 pounds, the 2024 average implies that a dollar bought about 319 times as many pounds, a cumulative loss of more than 99 per cent of the pound's external value. Over the same period real gross domestic product (GDP), the inflation-adjusted value of everything produced in the economy, fell by more than half, and the consumer price level, on the World Bank's annual inflation figures, rose roughly 270-fold (World Bank, 2025a).

The collapse was not a single event. It unfolded in distinct phases, each with different triggers, and it was shaped by a dual exchange-rate system in which an official rate set by the Central Bank of Syria (CBS) coexisted with a parallel, or black, market. For most of the period the official rate was more favourable to the pound than the street rate, so anyone who had to sell dollars at the official rate, such as recipients of remittances sent through formal channels, lost part of their value to the state. The gap between the two rates, known as the parallel-market premium, became one of the main indicators of policy credibility.

The collapse also had a regional dimension. Syria's economy was closely tied to Lebanon's banking system, which served for years as an offshore financial centre for Syrian households and firms. When Lebanese banks restricted withdrawals in late 2019, Syrian deposits there became largely inaccessible, and the World Bank later found that movements in the Lebanese pound helped to predict movements in the Syrian pound but not the reverse (World Bank, 2022). Sanctions, most notably the United States Caesar Syria Civilian Protection Act, which entered into force on 17 June 2020, further restricted access to finance and trade (Middle East Eye, 2020a).

The period since December 2024 adds a new chapter. The transitional authorities inherited a central bank with very small reserves, a banking system short of physical cash and an economy in which the US dollar and the Turkish lira circulated widely. The pound appreciated by about 30 per cent between December 2024 and February 2025 (World Bank, 2025a). The United States lifted most sanctions in 2025 and repealed the Caesar Act in

December 2025, and on 1 January 2026 Syria introduced a redenominated "new Syrian pound" equal to 100 old pounds (Al Jazeera, 2026; Curtis, Mallet-Prevost, Colt & Mosle LLP, 2025). Yet the parallel rate weakened again during 2026, reaching about 140 new pounds per dollar by mid-October against an official rate of 122.5 (LiraScope, 2026).

This paper asks four research questions. First, how did the official and parallel exchange rates of the Syrian pound evolve between 2011 and 2026, and how can the episode be divided into phases? Second, what were the main causes of the collapse, and how much weight should be given to domestic policy, war damage, sanctions and regional contagion from Lebanon? Third, through which channels did depreciation affect inflation, wages, the cost of basic needs, dollarisation and remittances, and what did this mean for households and firms? Fourth, what lessons do the post-2024 stabilisation attempt and the experiences of Lebanon, Zimbabwe, Venezuela and Turkey offer for policy?

The paper makes three contributions. It assembles a consistent long series of official and parallel exchange rates from documented sources and makes the data and code available. It links the exchange-rate path to the cost of living using the World Food Programme's food basket and Minimum Expenditure Basket, which makes the human meaning of the depreciation concrete. And it treats the unreliability and inconsistency of Syrian macroeconomic data as an object of analysis, showing for example that three World Bank products published within eighteen months of each other report inflation for 2024 of 58.1, 72.1 and 108 per cent.

The rest of the paper is organised as follows. Section 2 reviews the literature on parallel exchange markets, high inflation, dollarisation, exchange-rate pass-through and redenomination, and the specific literature on Syria. Section 3 describes the methodology and data. Section 4 sets out the historical background. Sections 5 to 10 contain the analysis: the exchange-rate path, its causes, transmission to prices and wages, dollarisation and remittances, the period after December 2024, and the comparison with other countries. Sections 11 to 14 discuss the findings, draw out policy implications, set out limitations and conclude.

2 Literature Review

2.1 Parallel exchange markets and multiple exchange rates

A parallel exchange market exists when the official exchange rate is not freely available to everyone who wants to buy foreign currency at that price, so that a second, unofficial market emerges at a different rate. Kiguel and O'Connell (1995), in a review of experience across developing countries for the World Bank Research Observer, describe how such markets typically arise from foreign-exchange rationing combined with inflationary macroeconomic policies, and why the premium of the parallel over the official rate tends to rise when fiscal deficits are financed by money creation. A central insight of this literature is that the official rate in such regimes is often not "market-clearing": at the official price, demand for dollars exceeds supply, and the excess spills into the parallel market.

Gray (2021), in an International Monetary Fund (IMF) working paper titled "Recognizing Reality", argues that official exchange rates in multiple-rate systems are often irrelevant for price formation, because firms and households set prices with reference to the rate at which they can actually obtain foreign currency. On this view, unifying the official and parallel rates usually has a smaller effect on inflation than policymakers fear, because the economy has already "priced in" the parallel rate. The World Bank tested this hypothesis for Syria and found that since late 2019 inflation responded strongly to changes in the parallel rate and hardly at all to changes in the official rate (World Bank, 2023b). That finding, discussed in Section 7, is one of the empirical anchors of this paper.

Calvo and Reinhart (2002) document a related phenomenon, "fear of floating": many countries that officially allow their currencies to float in practice intervene heavily to limit exchange-rate movements, because depreciation raises the burden of foreign-currency debts and feeds inflation. Syria before 2011 operated a managed peg rather than a float, but the logic of fear of floating helps explain why the CBS repeatedly delayed adjustments of the official rate and then devalued in large discrete steps, as in June 2020, April 2021 and five times during 2023.

2.2 Fiscal dominance, high inflation and hyperinflation

The classic framework for understanding very high inflation was set out by Cagan (1956), who defined hyperinflation as price increases of at least 50 per cent per month and modelled how the demand for money falls as people expect faster inflation. The importance of expectations and fiscal policy was developed in Sargent's (2013) study of the end of four

large post-1918 inflations in Austria, Hungary, Poland and Germany, which argued that those inflations stopped abruptly once governments changed the fiscal regime in a credible way, by balancing the budget and establishing an independent central bank. Dornbusch, Sturzenegger and Wolf (1990) examined "extreme inflation" more broadly and stressed the role of indexation, the shrinking of the real money stock and the repeated failure of heterodox stabilisation programmes that did not address the fiscal root.

The common thread is fiscal dominance: a situation in which monetary policy is subordinated to the financing needs of the government. When a government cannot borrow or tax enough, it can force the central bank to buy its debt or advance it money, which expands the monetary base. Syria fits this pattern. The World Bank reports that the monetary base, M0 (currency in circulation plus banks' reserves at the central bank), grew 105-fold between 2011 and November 2024, and it attributes the near-depletion of reserves and the depreciation primarily to "increased monetary financing" (World Bank, 2025a). Syria did not experience hyperinflation in Cagan's sense, since annual inflation peaked at around 120 to 130 per cent, but it experienced a long period of high and volatile inflation of the kind Dornbusch and colleagues described.

2.3 Dollarisation and currency substitution

Dollarisation refers to the use of a foreign currency, usually the US dollar, alongside or instead of the domestic currency. The literature distinguishes between currency substitution, the use of foreign cash for transactions, and financial dollarisation, the holding of deposits and loans in foreign currency. Ize and Levy Yeyati (2003) show that financial dollarisation is driven by the relative volatility of inflation and the real exchange rate: when the purchasing power of the domestic currency is unpredictable, savers prefer foreign-currency assets. Reinhart, Rogoff and Savastano (2003), in a paper aptly titled "Addicted to Dollars", document how dollarisation tends to persist long after inflation has been brought down, which makes de-dollarisation slow and difficult.

In Syria the share of foreign-currency deposits in total bank deposits rose from 15.8 per cent in 2011 to 69.4 per cent in 2023, and both the US dollar and the Turkish lira came into common use for transactions and savings (World Bank, 2025a). In parts of northern Syria the Turkish lira became a de facto local currency, which meant that depreciation of the lira was itself imported into those markets (Syrian Center for Policy Research [SCPR], 2026).

2.4 Exchange-rate pass-through

Exchange-rate pass-through (ERPT) measures how much a change in the exchange rate is reflected in domestic prices. A pass-through coefficient of 0.5 means that a 10 per cent depreciation raises the price level by 5 per cent over the period measured. Gopinath, Itskhoki and Rigobon (2010) show that the currency in which prices are set matters greatly: when goods are invoiced in dollars, pass-through into local-currency prices is high and fast. Economies that import most of their food and fuel, and in which traders quote prices in dollars, therefore tend to have high pass-through.

For Syria, the World Bank estimates a pass-through coefficient between 0.30 and 0.84 over 2011 to 2022, so that a 100 per cent depreciation raises inflation by 30 to 84 percentage points within a year. The World Bank compares this with estimates of 0.222 to 0.231 for emerging market economies in Jasova and co-authors (2019), as cited in World Bank (2025a). The Syrian figure is high even by the standards of emerging markets and reflects heavy import dependence, low central bank credibility and widespread dollar pricing.

2.5 Redenomination

Redenomination is the replacement of an existing currency unit by a new one at a fixed ratio, for example by removing zeros. It changes the unit of account but not, by itself, the value of money. The literature on redenomination is thinner than that on stabilisation, and much of it consists of country appraisals such as Dogarawa's (2010) assessment of a proposed redenomination in Nigeria. Comparative experience points in two directions. Where redenomination accompanies or follows successful disinflation, as in Turkey in 2005, it can consolidate credibility; the governor of the Turkish central bank described the new lira as "the symbol of the stable economy that we dreamed of for long years" (BBC News, 2004). Where it substitutes for stabilisation, as in Venezuela's three redenominations of 2008, 2018 and 2021, the zeros return. A Venezuelan economist observed in 2021 that the 2018 reconversion "was lost in a year and a half" (Associated Press, 2021). Section 10 uses these cases to assess Syria's 2026 reform.

2.6 The Syrian economy in war and transition

The academic and policy literature on Syria's war economy has grown substantially since 2011. Gobat and Kostial (2016) provided an early IMF assessment of the "conflict economy". Devadas, Elbadawi and Loayza (2019) modelled possible growth paths after the war for the World Bank. Daher (2019) analysed the political economy of the regime's

resilience, emphasising the role of networks of business elites close to the state. ESCWA and the University of St Andrews estimated that by the end of 2018 the conflict had caused 324.5 billion US dollars in lost GDP and 117.7 billion in destroyed physical capital, a total macroeconomic cost of 442.2 billion, and that exports collapsed from 8.7 billion dollars in 2010 to 0.7 billion in 2018 while imports did not fall comparably, generating pressure on the pound (United Nations Economic and Social Commission for Western Asia [ESCWA], 2020).

The World Bank's Syria Economic Monitor series, launched in 2022, has become the most systematic source of macroeconomic analysis. It documented the link between the Lebanese and Syrian pounds (World Bank, 2022), the role of fuel smuggling and parallel-market pricing (World Bank, 2023a, 2023b), and the collapse of household welfare, with extreme poverty rising from a negligible level in 2009 to roughly a quarter of the population by mid-2022 (World Bank, 2024). The 2025 macro-fiscal assessment, prepared after the change of government, consolidated the available annual data in a statistical annex that is the backbone of this paper's annual series (World Bank, 2025a).

Think-tank work adds institutional detail. Chatham House (2025) describes how the Assad-era CBS, cut off by sanctions, relied on exchange houses and the informal hawala system (a network of brokers who settle transfers without moving cash across borders) to obtain foreign currency and to move funds. Sayigh (2025), writing for the Carnegie Middle East Center, warns that the post-2024 authorities lack a comprehensive reconstruction plan and that liquidity has remained short despite reconnection to the international payments system. The Syrian Center for Policy Research (SCPR) has since 2025 published a monthly consumer price index and inflation bulletin based on its own price survey, which offers an independent check on official figures (SCPR, 2026).

What is missing in this literature is a single analysis that follows the currency across the entire period from 2011 to 2026, connects the exchange-rate path to the cost of living in a consistent way, and evaluates the post-2024 stabilisation and the 2026 redenomination in comparative perspective. This paper attempts to fill that gap.

3 Methodology and Data

3.1 Research design

The study uses a descriptive and analytical case-study design built on secondary quantitative data and documentary sources. It does not estimate a new econometric model. There are two reasons for this choice. The first is that the underlying data are too fragmented for a credible time-series model over the full period: there is no continuous official monthly consumer price index for most of the war years, money-supply data were not released, and the parallel exchange rate is available monthly only from 2018. The second is that high-quality estimates of the key relationships, notably exchange-rate pass-through and the connection between the Lebanese and Syrian pounds, already exist in the World Bank's work, and the more useful contribution is to assemble a consistent long-run picture, link it to living standards, and evaluate the post-2024 period, which those studies do not cover.

The analysis proceeds in three steps. First, the exchange-rate path is reconstructed from annual and monthly sources and divided into phases using documented policy events. Second, causes are examined by relating the exchange-rate phases to fiscal, monetary, external and political developments. Third, transmission is traced through inflation, wages and the cost of basic needs measured in US dollars at the parallel rate, which is the rate that households and traders actually faced. Simple derived indicators are used throughout: the parallel-market premium, the dollar value of wages and baskets, and ratios of wages to basket costs.

3.2 Data sources

Table 1 lists the main data sources. The annual macroeconomic series, including GDP, inflation, fiscal balances, remittances, the current account, reserves and the official and market exchange rates for 2008 to 2024, come from the statistical annex of the World Bank's Syria Macro-Fiscal Assessment (World Bank, 2025a), which draws on the Central Bureau of Statistics, the CBS and World Bank staff estimates. The October 2026 Macro Poverty Outlook provides revised growth and inflation figures for 2023 to 2025 and projections for 2026 (World Bank, 2026a).

Monthly parallel-market exchange rates, the cost of the WFP standard reference food basket, the Minimum Expenditure Basket (MEB) and the public-sector minimum wage were transcribed from the World Food Programme's Syria market price bulletins for 2015 to 2026 (World Food Programme [WFP], 2018–2026). The standard reference food basket is a fixed

set of staple foods sufficient for a family of five for one month. The MEB is broader: it is the cost of the minimum set of goods and services, including food, rent, fuel and hygiene items, that a household needs to meet basic needs. Ninety-three bulletins downloaded from ReliefWeb and the Food Security Cluster were searched systematically and the relevant headline values were checked by hand against the source text.

Daily wages for unskilled labour come from the WFP market price database distributed through the Humanitarian Data Exchange (HDX), which contains more than 289,000 price observations from April 2011 to September 2026 (WFP, 2026a). Official exchange-rate decisions were taken from WFP bulletins, contemporary news reports, the SCPR inflation bulletin and the Syria Dispatch economic digest. Comparative inflation data for Lebanon, Turkey, Venezuela and Zimbabwe come from the World Bank's World Development Indicators (WDI), indicator FP.CPI.TOTL.ZG (World Bank, 2026c). Policy events, including sanctions decisions, IMF missions and the redenomination decree, were verified against primary or authoritative secondary sources, which are listed in the source log that accompanies this paper.

Table 1. *Main data sources*

Source	Variables	Coverage	Frequency	Remarks
World Bank (2025a), statistical annex	GDP, growth, CPI inflation, fiscal accounts, money and credit, BoP, reserves, official and market exchange rates	2008–2024	Annual	2023–2024 estimates; market rate set equal to official rate to 2014
World Bank (2026a), Macro Poverty Outlook	Growth, inflation, fiscal balance, poverty	2023–2026	Annual	Revised values; 2026 projected
WFP Syria market price bulletins (WFP, 2018–2026)	Parallel and official rates, food basket, MEB, minimum wage	2015–2026	Monthly	93 issues consulted; gaps in some months
WFP price database via HDX (WFP, 2026a)	Daily unskilled wage; commodity prices	2011–2026	Monthly, by market	Prices in new pounds; USD conversion at official or operational rates
SCPR (2026)	Independent CPI; parallel rate; wages and poverty lines	2025–2026	Monthly	Own price survey, base 2021 = 100
World Bank (2026c), WDI	CPI inflation for Lebanon, Turkey, Venezuela, Zimbabwe, Syria	2005–2025	Annual	Venezuela to 2016, Zimbabwe to 2022, Syria to 2019
News reports and official documents	Policy decisions, sanctions, redenomination, governors	2019–2026	Event	Listed in the source log

Note. BoP = balance of payments; CPI = consumer price index; MEB = Minimum Expenditure Basket; SCPR = Syrian Center for Policy Research; WDI = World Development Indicators.

3.3 Construction of the series

Three construction choices deserve mention. First, all exchange rates are expressed in old Syrian pounds per US dollar. Values published after 1 January 2026 in new pounds were multiplied by 100 to keep the series continuous; Figure 1 shows the equivalent new-pound scale on its right-hand axis. Second, where a monthly WFP parallel rate is missing between two observed months, the monthly cost-of-living series in US dollars uses a log-linear interpolation of the parallel rate, and these months are flagged in the data file. Before June 2018, when monthly WFP parallel rates are not available, the World Bank's annual average market rate is used instead. Third, the World Bank annex sets the market rate equal to the official rate up to 2014. Contemporary reports suggest that a parallel market existed earlier, but no consistent series for 2011 to 2014 could be located in the sources consulted, so the paper does not attempt to construct one. A modelled data set of monthly market exchange rates by market, published through the World Bank Microdata Library, offers an alternative

source for future work (Andrée, 2025); it is not used here so that the series rests on directly reported rates.

3.4 The reliability of Syrian economic data as a methodological problem

Data quality is not a peripheral issue in the Syrian case. It shapes what can be known. When it released its 2025 macro-fiscal assessment, the World Bank itself stated that "economic data for Syria is extremely scarce and hard to come by" (World Bank, 2025b). The World Bank noted in 2022 that Syria ranked last among 146 countries on its Statistical Capacity Indicator (World Bank, 2022). The Syrian authorities stopped publishing money-supply data after the start of the conflict, which prevents a direct assessment of monetary policy (World Bank, 2025a). In 2023 the World Bank reported that consumer price index data were not available after December 2021 (World Bank, 2023b). Balance-of-payments figures miss much of the informal economy: official data recorded remittances of 2.1 billion US dollars in 2017, whereas ESCWA estimated inflows of 8.5 billion (World Bank, 2025a).

Data problems also arise from the coexistence of several exchange rates. The CBS has published multiple official rates applying to different transactions, including the "Official Market Rate" introduced in August 2023 and a separate rate for remittances (World Bank, 2024). Any conversion of Syrian-pound values into dollars therefore depends on which rate is chosen. The WFP's own US-dollar price conversions in its database use an official or operational rate rather than the parallel rate; the implied conversion rate in the HDX file for October 2023 to October 2025, for example, is 130 new pounds (13,000 old), while the parallel rate during most of 2025 was between 9,600 and 11,900 old pounds. Some dollar values quoted in WFP bulletins, such as a food basket cost of 113 dollars in March 2023, were converted at the official rate and are not comparable with the parallel-rate conversions used here.

Most striking is the disagreement among estimates for the same variable. Table 3 in Section 7 shows that three World Bank products report 2024 inflation of 58.1, 72.1 and 108 per cent, and 2025 inflation of 11.5 and minus 27 per cent. Growth estimates have also been revised: the 2025 macro-fiscal annex estimates real growth of minus 1.2 per cent in 2023 and minus 1.5 per cent in 2024, whereas the October 2026 outlook, based on government data, reports 0.3 and 0.8 per cent (World Bank, 2025a, 2026a). Forecasts have moved just as much: in July 2025 the World Bank expected growth of 1 per cent in 2025 (World Bank, 2025b), while the October 2026 outlook estimates 3.6 per cent for that year (World Bank, 2026a).

These are not errors by any single institution. They reflect changes in the underlying national data, different base periods and methods (period averages versus year-on-year changes), and the difficulty of measuring prices in a fragmented economy where several currencies circulate. The paper therefore reports ranges where sources disagree, prefers market-based data such as WFP prices where official data are doubtful, and avoids drawing conclusions that depend on a single uncertain number.

4 Historical Background

4.1 The pre-war economy, 2000 to 2010

In the decade before the uprising Syria was a lower-middle-income economy that grew at an average of 4.8 per cent a year with inflation of 4.9 per cent (World Bank, 2025a). GDP per capita reached 2,731 US dollars in 2010. The economy was partly liberalised under the "social market economy" programme of the 2000s, which opened banking to private investors, allowed private insurance and expanded trade with Turkey and the Gulf. Oil remained a key source of foreign exchange and budget revenue, although production was declining.

The external position was comfortable by regional standards. Gross reserves stood at 19.5 billion US dollars at the end of 2010, equivalent to about nine months of imports, and the World Bank annex records reserves of between 10.7 and 12.6 months of imports of goods and services in 2008 to 2010 (World Bank, 2025a). Other sources cite a figure of 17 billion dollars for end-2010 (Al Jazeera, 2026), a difference that probably reflects definitions of gross reserves. Public debt was moderate and the budget deficit small, at 1.1 to 6.2 per cent of GDP between 2008 and 2010.

4.2 The exchange-rate regime before 2011

The pound had been effectively stable against the dollar for several years before 2011. The World Bank annex shows an average official rate of 46.6 pounds per dollar in 2008 and 2009 and 46.4 in 2010 (World Bank, 2025a). The CBS managed the rate closely, and while there were restrictions on capital movements, the official rate was broadly available for current transactions. The parallel market was small. This stability depended on reserves, on oil exports and on a fiscal position that did not require monetary financing, and all three were undermined after 2011.

4.3 War and fragmentation, 2011 to 2018

The uprising that began in March 2011 developed into a civil war that fragmented the territory of the state. By the mid-2010s large parts of the north-east, including most oil fields, were outside government control, first under the Islamic State and later under the Kurdish-led Autonomous Administration, while the north-west came under opposition and Turkish-backed control. Real GDP fell by 26.3 per cent in both 2012 and 2013 according to the World Bank annex, and continued to shrink until 2016 (World Bank, 2025a). The ESCWA estimate

that real GDP had lost 54 per cent of its 2010 level by the end of 2018 is consistent with this picture (ESCWA, 2020).

The fiscal shock was severe. Government expenditure rose to 43.9 per cent of GDP in 2012 and 47.1 per cent in 2013 while the deficit reached 18.1 and 25.5 per cent of GDP (World Bank, 2025a). The current-account deficit widened to 32.7 per cent of GDP in 2013, and reserves, measured in months of imports, fell from 12.1 in 2010 to 0.7 in 2014. The official exchange rate moved from 48.2 pounds in 2011 to 137.5 in 2013 and 467.6 in 2016. Russia and Iran provided credit lines that helped finance imports; the World Bank lists Russian credit lines of 1.9 billion dollars in 2013, 3 billion in 2014 and smaller amounts later (World Bank, 2025a).

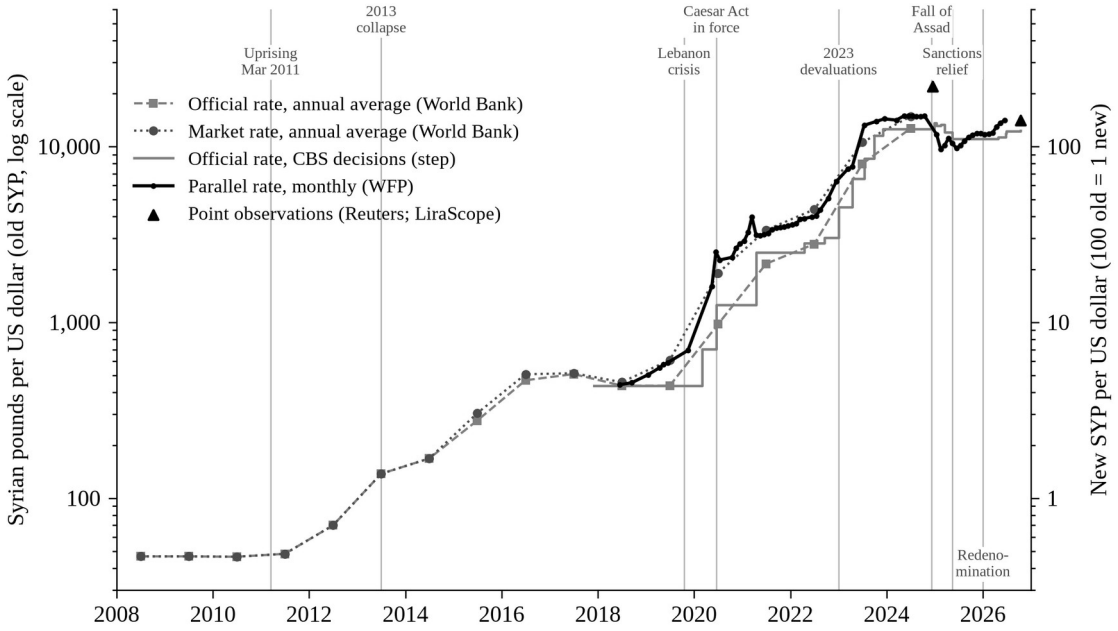
Between 2016 and 2019 the currency was relatively stable. The government regained control of Aleppo, Eastern Ghouta and much of the south, and the official rate was held at about 434 to 436 pounds per dollar from late 2017. Annual inflation fell to 18.0 per cent in 2017 and 1.0 per cent in 2018 (World Bank, 2025a). This stability turned out to be fragile because it rested on reduced fighting rather than on restored fiscal or external balance, and because it relied on access to dollars through Lebanon.

5 The Path of the Exchange Rate, 2011 to 2026

5.1 Five phases of the collapse

Figure 1 plots the official and parallel exchange rates on a logarithmic scale. A logarithmic scale is used because it shows equal percentage changes as equal vertical distances: a move from 50 to 100 pounds looks the same as a move from 5,000 to 10,000. On an ordinary scale the early years would be invisible.

Figure 1. *Official and parallel exchange rates of the Syrian pound, 2008–2026 (log scale)*



Note. Old Syrian pounds per US dollar; values published in new pounds after 1 January 2026 are multiplied by 100 (right axis shows new pounds). The World Bank annex sets the market rate equal to the official rate up to 2014. Triangles mark point observations around the December 2024 transition (Reuters, 2025a) and on 13 October 2026 (LiraScope, 2026). Source: World Bank (2025a), statistical annex; WFP Syria market price bulletins, 2018 to 2026 (WFP, 2018–2026); official rate decisions as listed in Table 2.

The figure suggests five phases. The first, from 2011 to 2013, was the war shock. The average official rate rose from 48.2 pounds per dollar in 2011 to 70.0 in 2012 and 137.5 in 2013, almost tripling in two years (World Bank, 2025a). The World Bank dates the first major devaluation to 2013, "with the expansion of conflict and ISIS control" (World Bank, 2025a). The second phase, from 2014 to 2016, was a slower but persistent slide as oil revenues disappeared and reserves ran out; the market rate averaged 506.1 pounds in 2016. The third, from 2017 to mid-2019, was a period of relative stability around 430 to 520 pounds, when the official rate was fixed at 434 from December 2017 and the parallel rate stayed close to it, at 441 in June 2018 and 502 in January 2019 (WFP, 2018–2026).

The fourth phase, from late 2019 to 2023, was the second and much larger collapse. The parallel rate rose from 691 pounds in November 2019 to 2,505 in June 2020, 3,972 in March 2021, 6,307 in December 2022 and 14,343 in December 2023 (WFP, 2018–2026). In annual terms the World Bank records a 224 per cent depreciation of the market rate in 2020, 26 per cent in 2021 and 141 per cent in 2023 (World Bank, 2022, 2024). The fifth phase began with the change of government in December 2024: a sharp appreciation in early 2025, a period of relative calm, and renewed depreciation in 2026.

5.2 The official rate and the parallel premium

The CBS kept the official rate fixed for long periods and then devalued in large steps, usually after the parallel rate had already moved. Table 2 lists the main decisions identified in the sources. The official rate was raised from 434 to 704 pounds in March 2020, to 1,256 on 17 June 2020, the day the Caesar Act came into force, to 2,500 in April 2021, to 2,814 in April 2022 and to 3,015 in September 2022. In 2023 it was devalued five times, to 4,522 in January, 6,532 in April, 8,542 in July, 11,557 in October and 12,562 in December (Arab News, 2020; WFP, 2018–2026).

Table 2. *Chronology of official exchange-rate decisions*

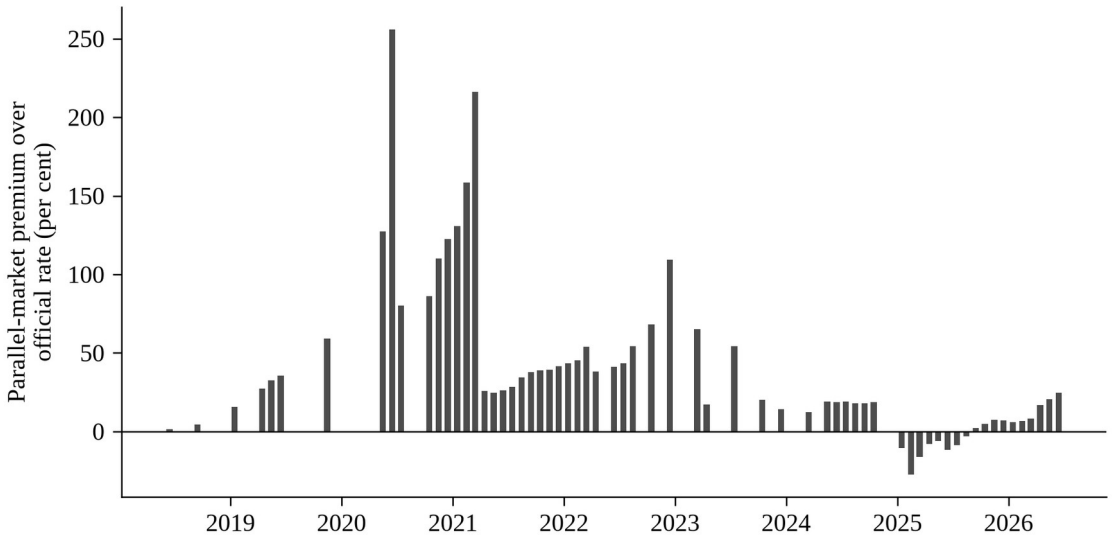
Date	Official rate (old SYP/US$)	WFP parallel rate in that month	Description
1 Dec 2017	434	n.a.	Official rate 434 (from Dec 2017)
1 Mar 2020	704	n.a.	Official rate raised to 704 (about 700)
17 Jun 2020	1,256	2,505	Devaluation from 704 to 1,256 as the Caesar Act took effect (WFP reports 1,250)
15 Apr 2021	2,500	3,146	Devaluation to 2,500
15 Apr 2022	2,814	3,884	Devaluation to 2,814
15 Sep 2022	3,015	n.a.	Official rate 3,015
2 Jan 2023	4,522	n.a.	Devaluation to 4,522
15 Apr 2023	6,532	7,650	Devaluation to 6,532
15 Jul 2023	8,542	13,180	Devaluation to 8,542
1 Oct 2023	11,557	13,875	Devaluation to 11,557
5 Dec 2023	12,562	14,343	Devaluation to 12,562
28 Dec 2024	13,567	about 22,000 (early Dec.)	Post-transition official rate set above parallel
15 Jan 2025	13,065	11,684	Official 13,065
15 Feb 2025	13,266	9,622	Official 13,266
15 Mar 2025	12,060	10,112	Official 12,060
13 May 2025	11,055	10,392	Official 11,055 (11,000 buy / 11,110 sell)
26 Apr 2026	11,300	12,906	Raised to 11,300 (113 new)

Date	Official rate (old SYP/US$)	WFP parallel rate in that month	Description
25 Jun 2026	11,900	14,076	118.5 buy / 119.5 sell new SYP
28 Jun 2026	12,200	14,076	121.5-122.5 new SYP
13 Oct 2026	12,250	14,050	122.5 new SYP

Note. Dates for decisions reported only by month are set to mid-month. From 2026, new-pound rates are multiplied by 100. n.a. = no WFP observation for that month. Source: WFP (2018–2026); Arab News (2020); Middle East Eye (2020a); Reuters (2025a); SCPR (2026); Feve (2026); LiraScope (2026).

Figure 2 shows the resulting parallel-market premium, defined as the percentage by which the parallel rate exceeded the official rate in force at mid-month. The premium was small in 2018, rose to 59 per cent by November 2019 and exceeded 100 per cent for most of the period from May 2020 to March 2021, peaking at about 256 per cent in June 2020 just before the official devaluation. After the April 2021 devaluation the premium fell to about 25 per cent, then drifted upward again to 109 per cent in December 2022. The repeated devaluations of 2023 compressed it to between 12 and 20 per cent in 2024.

Figure 2. *Parallel-market premium over the official exchange rate, 2018 to 2026*



Note. Premium = parallel rate divided by the official rate in force at mid-month, minus one, in per cent. Negative values in 2025 indicate that the official rate was weaker than the market rate. Source: author's calculation from WFP (2018–2026) and the official rate decisions in Table 2.

The pattern illustrates a policy dilemma. A large premium encourages people to bypass the official system, which deprives the central bank of foreign currency and makes remittances flow through informal channels. Devaluing the official rate closes the gap, but if the fiscal and monetary causes of depreciation are not addressed, the parallel rate soon moves again and the cycle repeats. Zaki Mehchy of Chatham House summarised the June 2020 devaluation in these terms, saying the central bank "is trying to encourage people to use the

official channel instead of the black market", while predicting that the pound would continue its slide (Arab News, 2020).

A further complication was the introduction in February 2023 of a managed floating rate for remittances and earthquake-related transactions, which coexisted with the official bulletin rate. At the end of March 2023 the parallel rate was 7,471 and the managed float 7,182; at the end of July the parallel rate was 13,180 against a managed float of 9,900 (WFP, 2018–2026). The CBS later merged its remittance rate with the official rate, and from 23 June 2024 a single managed rate of 13,668 applied. The multiplicity of official rates is itself a symptom of a system that tried to ration foreign currency rather than price it.

5.3 The Lebanese crisis of 2019

The turning point of late 2019 coincides with the onset of the Lebanese financial crisis. In October and November 2019 Lebanese banks began restricting withdrawals and transfers abroad. For Syria this mattered for two reasons. Lebanese banks held large deposits of Syrian households and firms, and Lebanon was the main channel through which Syrian importers obtained dollars and settled trade, including, as bankers and businessmen told reporters, transactions designed to circumvent sanctions (Middle East Eye, 2020b).

Estimates of the trapped deposits vary widely. President Assad claimed in November 2020 that between 20 and 42 billion dollars of Syrian deposits might have been lost in a Lebanese banking sector that had held over 170 billion dollars in foreign-currency deposits (Middle East Eye, 2020b). A study by Professor Ali Kanaan of Damascus University, cited by the World Bank, put the figure at about 45 billion dollars, roughly the size of Syria's GDP at the time (World Bank, 2022). The World Bank's 2025 assessment notes only that Syrian deposits in Lebanese banks were reportedly "far exceeding the total assets of Syria's private sector banks in 2019" (World Bank, 2025a). None of these figures can be verified, and the higher numbers should be treated with caution, not least because the Syrian government had an interest in attributing the crisis to external causes.

The statistical evidence of contagion is stronger. Using daily data, the World Bank found that changes in the Lebanese pound "Granger-cause" changes in the Syrian pound, meaning that past movements in the Lebanese currency help predict future movements in the Syrian currency, but not the reverse (Table 2 in World Bank, 2022, reports an F-statistic of 1.84 with a p-value below 0.001 for returns). It also found that volatility spillovers between the two currencies rose sharply in October and November 2019 and again in the summer of

2021, and that the connection between the two pounds was closer than the connection of either with the Turkish lira (World Bank, 2022).

5.4 The Caesar Act and 2020

The Caesar Syria Civilian Protection Act was signed into law on 20 December 2019 as part of the National Defense Authorization Act for Fiscal Year 2020, and its sanctions came into force on 17 June 2020 (Caesar Syria Civilian Protection Act of 2019, 2019; Middle East Eye, 2020a). Unlike earlier sanctions, it extended secondary sanctions to foreign persons doing business with the Syrian government and to those taking part in reconstruction (Middle East Eye, 2020a). The anticipation of the Act, together with the public falling-out between the president and the businessman Rami Makhlouf, coincided with a run on the pound: in early June 2020 the parallel rate reached a record of about 3,000 pounds per dollar, sparking rare protests, before recovering to 2,600 to 2,800 on the day the Act took effect (Arab News, 2020). The WFP national average for June 2020 was 2,505.

Disentangling the effect of the Caesar Act from that of the Lebanese crisis, the COVID-19 pandemic and domestic policy is not possible with the available data. The World Bank's assessments list them together as joint causes (World Bank, 2022, 2025a). Assad himself argued that the crisis "began before the Caesar Act" and blamed the deposits trapped in Lebanon (Middle East Eye, 2020b). The timing in Figure 1 supports the view that the depreciation was already under way in late 2019, before the Act took effect, but that the period around June 2020 saw the steepest single-month movements.

5.5 The devaluations of 2023

The third shock came in 2023. The earthquake of 6 February 2023 hit northern Syria and southern Turkey; in its aftermath the pound depreciated by 23 per cent, reaching about 8,800 pounds per dollar in the parallel market in May 2023 (World Bank, 2023b). The World Bank attributed the depreciation to deteriorating economic conditions, a stronger US dollar and spillovers from currency weakness in Lebanon and Turkey. Between May and August 2023 the parallel rate jumped again, reaching 13,180 at the end of July, and in August the government doubled the minimum wage to 185,940 pounds while raising the prices of subsidised diesel by 186 per cent and of petrol by 167 per cent (WFP, 2018–2026). The CBS responded with the five devaluations noted above, which brought the official rate to 12,562 by December. The average market rate rose by 141 per cent over the year (World Bank,

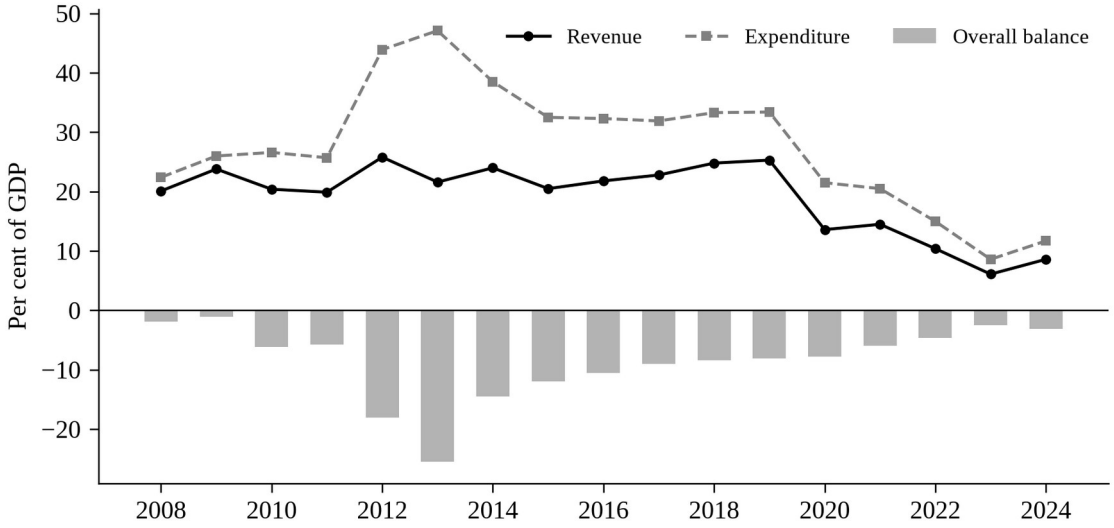
2024). After this the rate was broadly stable, at around 14,800 to 15,000 pounds per dollar through most of 2024, until the political transition.

6 Drivers of the Collapse

6.1 Fiscal deficits and monetary financing

The most fundamental cause of the depreciation was the financing of large fiscal deficits through money creation. Figure 3 shows government revenue, expenditure and the overall balance as shares of GDP. In 2012 and 2013 expenditure jumped to 44 to 47 per cent of GDP while revenue stayed at 22 to 26 per cent, producing deficits of 18 and 26 per cent of GDP. Deficits remained between 8 and 15 per cent of GDP until 2019. The World Bank estimates that budgeted deficits averaged 10 per cent of GDP over 2012 to 2024 (World Bank, 2025a).

Figure 3. *Central government revenue, expenditure and overall balance, 2008 to 2024*



Note. Per cent of GDP; 2023 and 2024 are estimates. Source: World Bank (2025a), statistical annex.

With domestic capital markets shallow and external borrowing limited to Russian and Iranian credit lines, a large part of these deficits was financed by the central bank. Credit to government in the monetary survey rose from 14.7 per cent of GDP in 2010 to 45.5 per cent in 2013 and 50.7 per cent in 2019, according to the World Bank annex (World Bank, 2025a). The monetary base grew 105-fold between 2011 and November 2024. A 105-fold increase in base money compares with a roughly 320-fold depreciation of the market rate between 2010 and 2024 and a roughly 270-fold increase in consumer prices over the same period. The fact that prices and the exchange rate rose faster than base money is consistent with a fall in the demand for Syrian pounds, as people shifted into dollars and goods, which is exactly what the Cagan (1956) framework predicts in an inflationary environment.

After 2020 the budget shrank dramatically in dollar and real terms. Revenue fell to 6.1 per cent of GDP in 2023 and expenditure to 8.6 per cent (World Bank, 2025a). The reported deficits became smaller, but this reflected severe compression of real wages and public services rather than fiscal strength, and quasi-fiscal operations such as subsidised fuel and bread sales by state enterprises were not fully captured in the budget.

6.2 The external balance: exports, oil and reserves

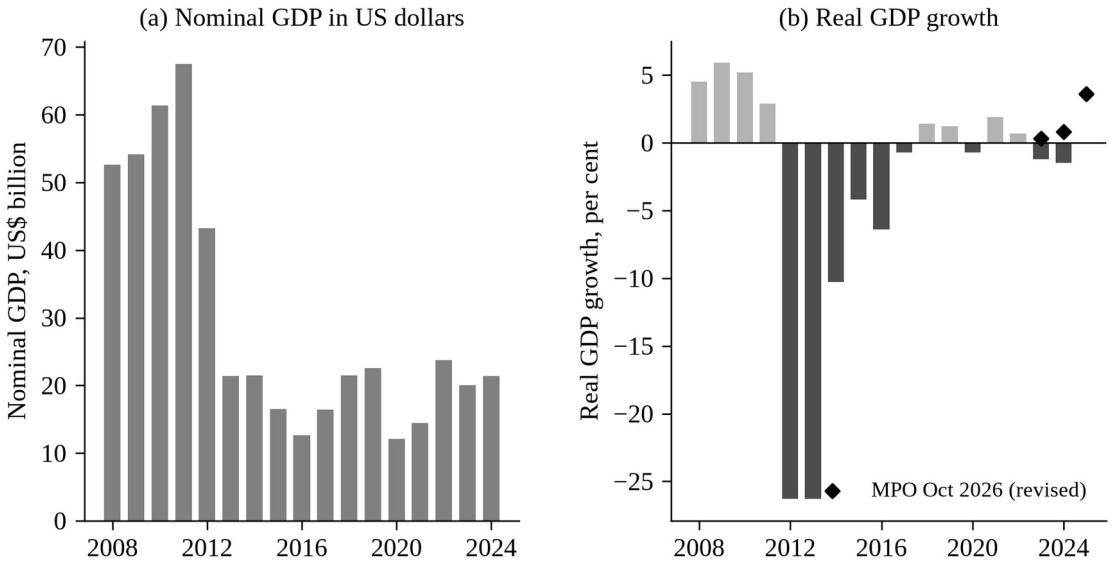
The second cause was the collapse of foreign-exchange earnings. Exports fell from 8.7 billion dollars in 2010 to 0.7 billion in 2018 according to ESCWA (2020). Oil production in government-controlled areas fell to a fraction of its pre-war level, turning Syria from an oil exporter into a net importer that depended on Iranian crude (World Bank, 2023a; Chatham House, 2025). The World Bank records current-account deficits of 12.8 to 32.7 per cent of GDP in 2011 to 2014 and a cumulative deficit of about 42 billion dollars over 2011 to 2023 (World Bank, 2025a).

Reserves, which had covered about a year of imports before the war, fell to 0.7 months of imports by 2014 and close to zero thereafter (World Bank, 2025a). A central bank without reserves cannot defend a fixed rate; it can only ration foreign exchange or let the rate fall. By late 2025 the CBS was reported to hold only about 200 million dollars in reserves (Al Jazeera, 2026). Informal earnings partly offset the formal collapse. The World Bank estimates that actors based in or linked to Syria earned up to 1.8 billion dollars a year from the trade in Captagon, an illegal amphetamine, almost twice the value of all licit Syrian exports in 2023 (World Bank, 2025a). Those dollars, however, accrued to networks close to the regime rather than to the central bank.

6.3 Output collapse and the loss of money demand

The third driver was the shrinking of the real economy. Figure 4 shows nominal GDP in dollars and real growth. Nominal GDP fell from 61.4 billion dollars in 2010 to 12.6 billion in 2016 and 12.1 billion in 2020, before recovering to around 20 to 24 billion in 2022 to 2024 (World Bank, 2025a). Real GDP in 2024 was about 45 per cent of its 2010 level on the annex growth rates; nighttime-light data suggest an even larger decline (World Bank, 2025a). A smaller economy needs fewer pounds for transactions, so for any given amount of money creation, a shrinking economy produces more inflation and depreciation.

Figure 4. *Nominal GDP in US dollars and real GDP growth, 2008 to 2024*



Note. 2023 and 2024 are World Bank estimates in the annex. Dollar GDP depends on the exchange rate used for conversion. Diamonds in panel (b) show the revised growth rates in the October 2026 Macro Poverty Outlook (0.3, 0.8 and 3.6 per cent for 2023, 2024 and 2025). Source: World Bank (2025a, 2026a).

6.4 Sanctions and financial isolation

Sanctions affected the currency through several channels: they restricted oil exports and imports of equipment, cut Syrian banks off from correspondent banking relationships with international banks, raised the cost of trade finance, and discouraged investment. They also pushed payments into informal channels. Chatham House (2025) documents how the Assad-era CBS relied on exchange houses such as Al-Fadel Exchange and Al-Adham Exchange, later sanctioned by the US Treasury, and on hawala networks to obtain foreign currency and move funds. This informalisation weakened the central bank's ability to observe and manage the foreign-exchange market.

It is difficult to quantify the separate effect of sanctions, because they were imposed on an economy already devastated by war and they coincided with other shocks. Sanctions were also designed to target the government's revenue, and the regime's own policies, including exchange controls and the prosecution of informal currency dealers, contributed to the informality that sanctions encouraged. The evidence presented here supports a cautious view: sanctions intensified the financial isolation and the scarcity of foreign exchange, especially after 2020, but they were neither the original cause of the collapse nor sufficient to explain its timing.

6.5 Confidence, expectations and political risk

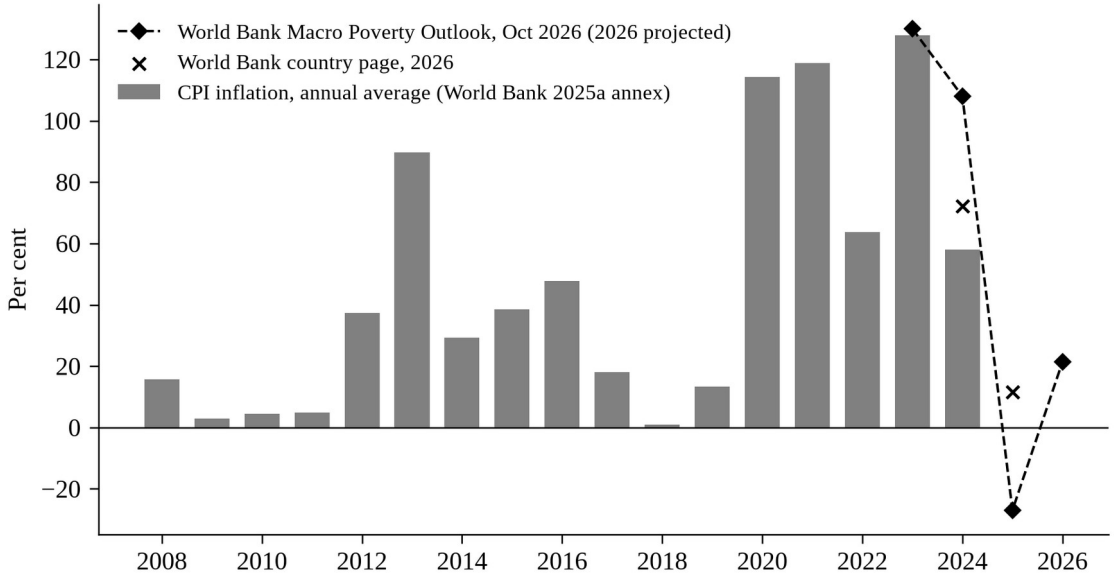
The final driver was confidence. Exchange rates are forward-looking prices, and in Syria they reacted sharply to political news: the run-up to the Caesar Act, the Makhlouf affair, the earthquake, and above all the regime change of December 2024, when the parallel rate reportedly reached around 22,000 pounds within days of the fall of the government before rebounding to 12,800 by 6 January 2025 (Reuters, 2025a). The WFP recorded a 42 per cent appreciation of the parallel rate within a single week around the transition (WFP, 2018–2026). Movements of this size cannot be explained by fundamentals alone; they reflect shifts in expectations about future policy, the security situation and the availability of dollars.

7 Transmission to Prices, Wages and Living Standards

7.1 Inflation

Figure 5 shows annual consumer price inflation. On the World Bank's annex series, inflation averaged 5.7 per cent a year in 2001 to 2010, 31.1 per cent in 2011 to 2019 and 96.5 per cent in 2020 to 2024 (World Bank, 2025a). It peaked first in 2013 at 89.6 per cent, fell to 1.0 per cent in 2018, and then rose to 114.2 per cent in 2020, 118.8 per cent in 2021 and 127.8 per cent in 2023. The cumulative effect is large: compounding the annual rates gives a price level in 2024 about 270 times that of 2010, of which a factor of about 10 accumulated between 2010 and 2019 and a factor of about 28 between 2019 and 2024.

Figure 5. *Consumer price inflation in Syria according to different World Bank sources, 2008 to 2026*



Note. Bars are period-average annual inflation from the World Bank macro-fiscal annex. Diamonds are the October 2026 Macro Poverty Outlook (2026 is a projection); crosses are values on the World Bank country page. Source: World Bank (2025a, 2026a, 2026b), based on Central Bureau of Statistics data.

The inflation path closely mirrors the exchange-rate path in Figure 1, which is the visual signature of high pass-through. The World Bank's pass-through estimates of 0.30 to 0.84 for 2011 to 2022 imply that the depreciation alone can account for a large share of measured inflation (World Bank, 2025a). Its regression analysis of the "recognizing reality" hypothesis found that from October 2019 to November 2021 the sensitivity of inflation to the parallel-market rate rose markedly and stayed high, while the sensitivity to the official rate approached zero (World Bank, 2023b). In other words, once the gap between the two rates became large, the official rate ceased to matter for prices. This is the main reason why official

devaluations, which closed the gap, had relatively small direct effects on inflation: the prices of most goods had already adjusted to the parallel rate.

7.2 Competing inflation estimates

Inflation figures for the most recent years illustrate the data problem discussed in Section 3. Table 3 sets out the estimates found in World Bank sources alone. For 2024 the macro-fiscal annex gives 58.1 per cent, the World Bank country page 72.1 per cent and the October 2026 Macro Poverty Outlook 108 per cent. For 2025 the country page gives 11.5 per cent and the Macro Poverty Outlook minus 27 per cent, a fall in the price level.

Table 3. *Alternative estimates of annual inflation in Syria*

Year	Source	Inflation (per cent)
2020	World Bank MFA 2025 annex	114.2
2020	World Bank SEM Spring 2022	114.0
2021	World Bank MFA 2025 annex	118.8
2021	World Bank SEM Spring 2022 (estimate)	90.0
2023	World Bank MFA 2025 annex	127.8
2023	World Bank MPO Oct 2026	130.0
2024	World Bank MFA 2025 annex	58.1
2024	World Bank country page	72.1
2024	World Bank MPO Oct 2026	108.0
2025	World Bank country page	11.5
2025	World Bank MPO Oct 2026	-27.0

Note. Definitions differ (period average versus year-on-year) and some series have been revised. Source: World Bank (2022, 2025a, 2026a, 2026b).

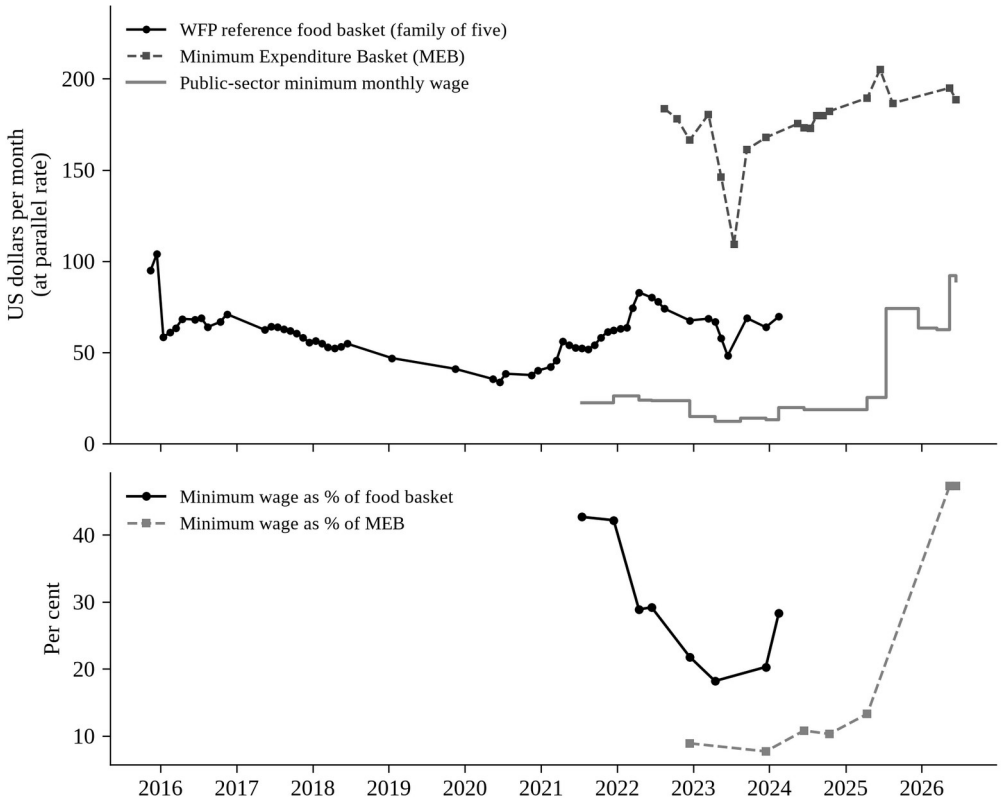
The divergence partly reflects revisions to the underlying Central Bureau of Statistics data and partly differences in definition. A year-on-year rate measured in December compares prices at two points; a period-average rate compares the average of one year with the average of the previous year. When prices rise sharply early in a year and then fall, as they did when the pound appreciated after December 2024, the two definitions can give very different answers. The monthly year-on-year rates from the independent SCPR price survey for April 2025 to April 2026 range from minus 2.1 to plus 27.5 per cent, with the highest readings in the most recent months (SCPR, 2026). The safest reading is that inflation fell sharply and briefly turned negative in 2025 as the pound appreciated, and then returned in 2026.

7.3 The cost of basic needs

For households, the most meaningful measure of the collapse is what money buys. Figure 6 shows the monthly cost of the WFP reference food basket and of the MEB in US

dollars at the parallel rate, together with the public-sector minimum wage, and the minimum wage as a share of each basket.

Figure 6. *Food basket, Minimum Expenditure Basket and minimum wage in US dollars at the parallel rate, 2015 to 2026*



Note. Pound values converted at the WFP monthly parallel rate (log-linearly interpolated over missing months) and, before June 2018, at the World Bank annual market rate. The reference food basket series ends in February 2024, when the bulletins switched to the MEB. MEB values for April to August 2025 are rounded figures given in the bulletins. Minimum wage values before July 2021 were not found in the sources consulted. Source: author's calculation from WFP (2018–2026) and World Bank (2025a).

Two features stand out. First, the food basket's dollar cost was remarkably stable relative to the swings in its pound price. In pounds, the basket cost 23,525 in January 2019 and 987,005 in February 2024, a 42-fold increase (WFP, 2018–2026). In dollars at the parallel rate it cost about 47 dollars in January 2019 and about 70 in February 2024. Food prices, in other words, were set in dollars and translated into pounds at the going parallel rate. The temporary dips in the dollar cost in mid-2020 and mid-2023, when the basket fell to around 34 and 48 dollars, occurred in months when the parallel rate jumped faster than shop prices adjusted, which shows that pass-through, though high, was not instantaneous.

Second, wages did not follow. The minimum wage stood at 71,515 pounds in July 2021 and 92,970 from December 2021 until July 2023 (WFP, 2018–2026). As the pound fell, its dollar value declined from about 26 dollars in December 2021 to about 12 dollars in April

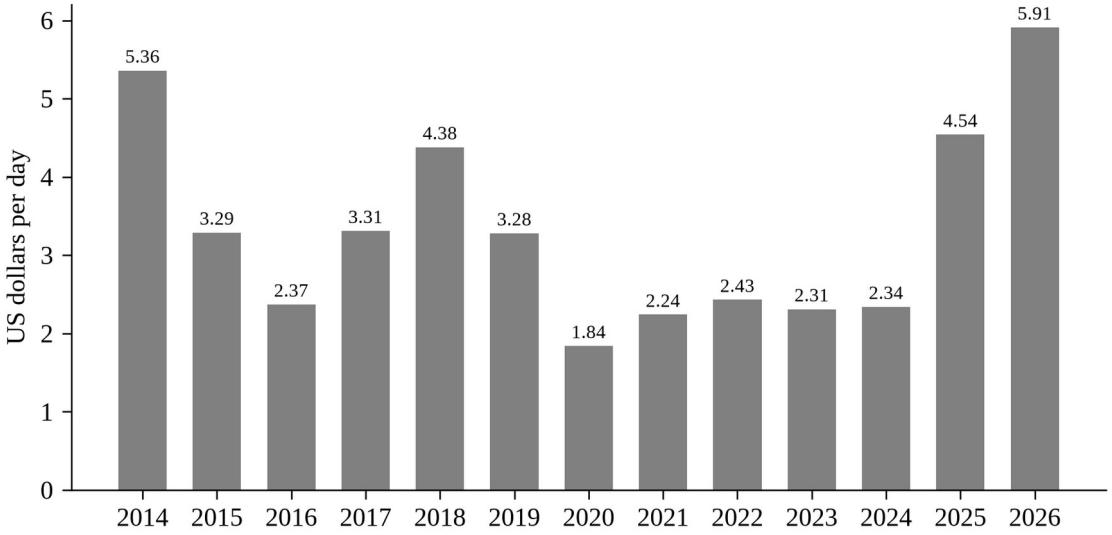
2023. In April 2022 it bought 29 per cent of one reference food basket; by April 2023 it bought only about 18 per cent. Even after the doubling to 185,940 pounds in August 2023 and a further 50 per cent rise to 278,910 by February 2024, the minimum wage was worth about 19 dollars a month, and it covered only about 13 per cent of the MEB in early 2025 (WFP, 2025a). In December 2023 the full MEB for a household cost 2,406,881 pounds, about 168 dollars at the parallel rate, nearly 13 times the minimum wage.

The pattern changed after the transition. The minimum wage was raised to 750,000 pounds in July 2025, after a 200 per cent increase announced in June, and to 1,256,000 old pounds (12,560 new) in May 2026 (WFP, 2025b, 2026b; SCPR, 2026). With a stronger pound in 2025 these increases raised the dollar value of the minimum wage to about 63 to 74 dollars, and to about 89 to 92 dollars in May and June 2026. In June 2026 the minimum wage covered about 47 per cent of the MEB (WFP, 2026c). The World Bank notes that it covered less than half of the MEB and about 75 per cent of food needs, and that widespread informality limits the effect of the minimum wage on actual incomes (World Bank, 2026a).

7.4 Market wages

Public-sector wages are only part of the picture, since most Syrians work informally. Figure 7 uses the WFP price database to show the median daily wage for unskilled labour across all monitored markets, converted into dollars. The daily wage fell from about 5.4 dollars in 2014 to 2.4 dollars in 2016, recovered to 4.4 dollars in 2018, and then fell to between 1.8 and 2.4 dollars from 2020 to 2024. It rose to about 4.5 dollars in 2025 and 5.9 dollars in 2026 (WFP, 2026a; author's calculations).

Figure 7. *Daily wage for unskilled labour in US dollars, 2014 to 2026*



Note. Median of all market observations of the daily wage for non-qualified labour in each year, converted at the World Bank annual market rate (2014 to 2024) and at the mean WFP monthly parallel rate (2025 and January to June 2026). Wage observations for 2026 cover January to September. Source: WFP (2026a); World Bank (2025a); author's calculation.

The pattern confirms that the collapse of 2019 to 2020 was a collapse of real wages across the economy, not only in the public sector. At 2 dollars a day and, say, 26 working days a month, an unskilled worker earned around 50 to 60 dollars a month between 2020 and 2024, roughly the cost of the food basket for a family of five and about a third of the MEB. The World Bank estimates that extreme poverty rose from a negligible level in 2009 to roughly 25 per cent by mid-2022 (World Bank, 2024), and that one in four Syrians lived in extreme poverty and 67 per cent below the lower-middle-income line of 3.65 dollars a day (World Bank, 2025a).

7.5 Distributional effects

Depreciation is not neutral between groups. Households with access to dollars, through remittances, exports, smuggling or employment with international organisations, were protected and in relative terms gained, because their dollar incomes bought more local services and labour. Households dependent on pound wages, especially public employees and pensioners, lost most. Holders of pound savings were expropriated by inflation, while debtors in pounds gained. The state itself, as the largest employer and the issuer of the currency, gained in a narrow fiscal sense, since inflation reduced the real value of wages and of pound-denominated debt, which is part of the explanation for the shrinking of expenditure to 8.6 per cent of GDP in 2023 (World Bank, 2025a). The SCPR found in April 2026 that the wages of

university-educated public employees covered only 33.9 per cent of an abject poverty line of 3.34 million old pounds per household per month (SCPR, 2026).

8 Dollarisation, Remittances, Firms and Households

8.1 Dollarisation

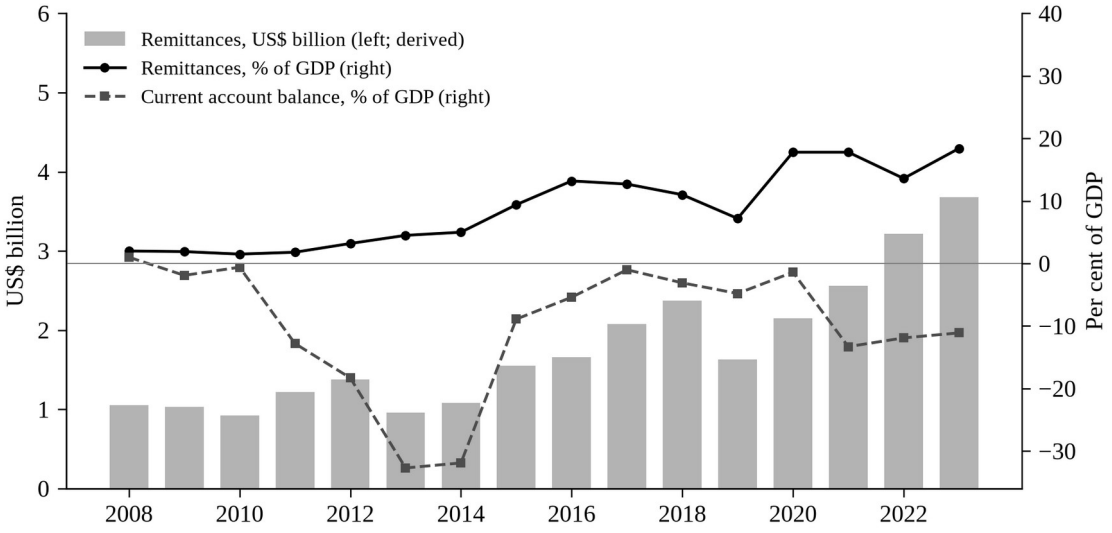
Dollarisation in Syria advanced along both of the dimensions identified by the literature. In the banking system foreign-currency deposits rose from 15.8 per cent of the total in 2011 to 69.4 per cent in 2023 (World Bank, 2025a). In everyday transactions, dollars were used for large purchases, rents and many wholesale transactions, and the Turkish lira became the main currency in parts of the north-west after 2020 (SCPR, 2026). Dealing in dollars outside licensed channels was for long periods restricted and at times criminalised in government-controlled areas, which drove dollar use underground but did not stop it.

Dollarisation has two faces. It protected those who could hold dollars from inflation and kept trade functioning when the pound was unusable as a store of value. But it also weakened the central bank's control over the money supply, deprived the state of seigniorage (the revenue from issuing money) in the most dynamic parts of the economy, and made the economy vulnerable to imported shocks, such as the depreciation of the Turkish lira. The experience of other countries suggests that dollarisation, once established, is persistent (Reinhart et al., 2003).

8.2 Remittances

Remittances, money sent home by Syrians working abroad, became one of the economy's main sources of foreign exchange. Figure 8 shows workers' remittances recorded in the balance of payments, as a share of GDP and in dollars, alongside the current-account balance.

Figure 8. *Recorded workers' remittances and the current-account balance, 2008 to 2023*



Note. Balance-of-payments workers' remittances. Dollar values are derived as the share of GDP multiplied by nominal GDP from the same annex. Recorded flows understate total remittances, much of which travel through informal channels; the Central Bank of Syria estimated household remittances at about US$8 billion in 2023. Source: World Bank (2025a); author's calculation.

Recorded remittances rose from 1.5 to 2.0 per cent of GDP before the war to 13.2 per cent in 2016 and between 13.6 and 18.4 per cent in 2020 to 2023 (World Bank, 2025a). In dollars, using the annex's own GDP figures, they rose from about 0.9 billion in 2010 to about 3.7 billion in 2023. These are lower bounds. ESCWA estimated 2017 remittances at 8.5 billion dollars against 2.1 billion in the balance of payments, and the CBS itself estimated total household remittances at about 8 billion dollars in 2023 (World Bank, 2025a). On that estimate remittances would have been equivalent to around 40 per cent of 2023 GDP. An estimated 37 per cent of Syrian households received remittances in 2022, averaging about 57 dollars a month and accounting for more than a third of income for recipient households; by comparison, international aid amounted to 2.8 billion dollars in 2023 (World Bank, 2025a).

The gap between official and estimated remittances is a direct consequence of the dual exchange rate. When the official rate was far below the parallel rate, sending money through formal channels meant losing a large share of its value: at the peak premium of June 2020, a remittance converted at the official rate of 704 pounds bought less than a third of what the same dollars fetched on the street. Most remittances therefore travelled through hawala networks and couriers. The managed floating rate introduced in 2023 and the later unification of remittance and official rates were attempts to bring these flows back into the formal system. In 2026 a requirement that some remittances be paid out in Syrian pounds was

criticised by the SCPR for transferring the cost of exchange-rate management to recipients (SCPR, 2026).

8.3 Effects on firms

Firms faced four problems. The first was price uncertainty. When the exchange rate moves daily, a firm that sells in pounds and buys inputs in dollars risks selling below replacement cost. Traders responded by pricing against a "precautionary" exchange rate above the market rate; in June 2026 some traders priced goods at around 16,000 old pounds per dollar when the market rate was around 13,000 to 14,000 (Feve, 2026). This behaviour protects individual traders but feeds inflation.

The second problem was access to foreign currency. Importers needed dollars and, for much of the period, could obtain them only through the parallel market or through CBS allocations at the official rate, which were rationed and involved import licensing. The World Bank describes how the authorities "aggressively restricted imports of non-critical goods", tightened import licensing, raised interest rates on pound deposits and obliged exporters to surrender foreign-currency earnings (World Bank, 2022). Such measures reduce the immediate demand for dollars but also reduce supply and encourage smuggling.

The third problem was the collapse of credit. Credit to the private sector fell from 20.7 per cent of GDP in 2010 to between 10.9 and 12.9 per cent in 2016 to 2019 according to the annex, and real lending in pounds became unattractive to banks when inflation exceeded nominal interest rates (World Bank, 2025a). The fourth was cash scarcity after the transition, discussed in Section 9, which disrupted payments and payroll.

8.4 Effects on households

For households the collapse meant a long fall in real income combined with repeated shocks. WFP bulletins repeatedly reported that households had to "resort to significant coping strategies" as wages fell behind prices (WFP, 2018–2026). Female labour-force participation rose from 13 to 31 per cent between 2010 and 2022, partly because households needed additional earners (World Bank, 2025a). Savings in pounds lost value repeatedly, which strengthened the incentive to hold dollars, gold or real estate. Rents and property prices became de facto dollar prices. The redenomination of 2026 added a further burden: households had to exchange old notes within limited windows, and implementation was uneven, especially in the north-east (Feve, 2026).

9 Regime Change, Sanctions Relief and Redenomination, 2024 to 2026

9.1 The transition and the liquidity crisis

The fall of the Assad government on 8 December 2024 produced extreme movements in the currency. In the days around the transition the parallel rate reportedly reached about 22,000 pounds per dollar; by 6 January 2025 it had recovered to around 12,800, while the official rate stood at 13,065 (Reuters, 2025a). For the first time in the period studied, the official rate was weaker than the parallel rate: the CBS set an official rate of 13,567 on 28 December 2024, above the market. Figure 2 shows the resulting negative premium, which reached minus 27.5 per cent in February 2025, when the parallel rate averaged 9,622 against an official 13,266 (WFP, 2018–2026).

The World Bank attributes the appreciation of about 30 per cent between December 2024 and February 2025 to three factors: a shortage of pound liquidity, the easing of foreign-exchange controls, and higher demand for pounds from returning Syrians and expatriates, with the partial lifting of sanctions supporting remittance inflows (World Bank, 2025a). The first factor deserves emphasis. The new authorities inherited a serious shortage of physical banknotes. Banks limited withdrawals to about 38 dollars a week, electronic payment services were suspended in most banks, and many citizens kept their savings outside the banking system (World Bank, 2025a). Russia, which had printed Syrian banknotes for the previous government, delivered a shipment of 300 billion pounds, about 30 million dollars, on 14 February 2025 and another in March (World Bank, 2025a). In this setting the appreciation partly reflected a scarcity of pounds rather than a surge of confidence. It also hurt exporters and those paid in dollars, and it caused a brief deflation: the World Bank's October 2026 outlook reports consumer prices falling by 27 per cent in 2025 (World Bank, 2026a).

The leadership of the central bank changed three times. Maysaa Sabrine was appointed governor shortly after the transition, the first woman to hold the post (Reuters, 2025a). Abdulkader Husrieh, appointed in April 2025, led the discussions with the IMF (International Monetary Fund [IMF], 2025a; Oweis, 2026). In May 2026 President Ahmad al-Sharaa replaced him with Mohammed Safwat Raslan, an accountant turned banker from Aleppo, who pledged to restore monetary stability gradually. The National's report on the appointment observed that, unlike its Lebanese counterpart, the CBS "operates as part of the political system and is not independent" (Oweis, 2026).

9.2 Sanctions relief

The lifting of sanctions proceeded in stages during 2025. The announcement of United States sanctions relief on 13 May 2025 "further boosted currency expectations", according to the World Bank, and the appreciation was sustained through mid-June (World Bank, 2025a). On 23 May 2025 the US Treasury issued General License 25, which authorised transactions prohibited by the Syrian Sanctions Regulations, including new investment, financial services and dealings in Syrian petroleum; the State Department issued a waiver under the Caesar Act at the same time, and US banks were permitted to maintain correspondent accounts for the Commercial Bank of Syria (U.S. Department of the Treasury, 2025a). On 30 June 2025 an executive order revoked the Syria sanctions programme with effect from 1 July 2025. The Treasury removed 518 individuals and entities from its sanctions list while keeping sanctions on Bashar al-Assad and his associates, captagon traffickers and other designated persons (The White House, 2025; U.S. Department of the Treasury, 2025b). The Caesar Act was repealed by section 8369 of the National Defense Authorization Act for Fiscal Year 2026, signed on 18 December 2025, with a requirement for periodic reports to Congress for four years (Curtis, Mallet-Prevost, Colt & Mosle LLP, 2025; U.S. Department of State, 2026). The European Union lifted its economic sanctions in 2025 (Sayigh, 2025), and by October 2026 Syria had also been removed from the US list of state sponsors of terrorism (World Bank, 2026a).

The IMF re-engaged after a gap of sixteen years. A staff team visited Damascus from 1 to 5 June 2025, the first such visit since 2009, and recommended that the authorities "empower the central bank to ensure price stability, restore confidence in the national currency, and adopt a monetary policy framework suited to achieve this" (IMF, 2025a). A second mission in November 2025 noted that the authorities had "been able to adopt a tight fiscal and monetary stance", agreed an intensive programme of technical assistance on financial sector legislation, the rehabilitation of payment and banking systems, central bank capacity and statistics, and stressed that "reliable economic data remain scarce" (IMF, 2025b). Syrian banks were reconnected to the SWIFT international payments network, although liquidity remained short (Sayigh, 2025).

Sanctions relief removed a constraint on trade and finance but did not by itself bring in large capital flows. Sayigh (2025) reports that, according to the head of the Syrian securities regulator, Syrian businesses held over 100 billion dollars abroad by the start of 2024, but that there had been minimal return flow amid uncertainty about security and economic policy.

The World Bank estimated reconstruction needs at between 141 and 343 billion dollars, with a best estimate of 216 billion, as reported by Sayigh (2025).

9.3 Redenomination: the new Syrian pound

By Decree No. 293 of 2025, the government introduced a new Syrian pound from 1 January 2026, removing two zeros so that 100 old pounds equal one new pound, with the qirsh as one hundredth of a pound (Syria News, 2025; Syria Now, 2026). The new notes, in denominations from 10 to 500 pounds, replaced images of the Assad family with agricultural motifs, and old and new notes were to circulate together for an initial period of 90 days (Al Jazeera, 2026).

The motives were partly practical, since the largest old notes were worth only a few dollars and cash transactions required bundles of notes, and partly symbolic: the new notes marked a break with the old regime. The exchange of notes, however, proved slower than planned. In June 2026 the governor reported that 63 per cent, and then 66 per cent, of the replacement had been completed and extended the deadline for exchange through banks and exchange companies to 31 July 2026, while promising a five-year window for late exchanges (Feve, 2026). In August 2026 the CBS stated that more than 95 per cent of the old money supply had been replaced (The Syria Report, 2026). Implementation was particularly difficult in the north-east, where the governorate of Hasakah had lacked functioning public banks; the CBS designated 11 replacement centres there in June 2026, and its Raqqa branch resumed operations for the first time since 2013 (Feve, 2026).

9.4 Renewed pressure in 2026

The new pound did not hold its value. After a year in which the parallel rate stayed between about 9,600 and 11,900 old pounds per dollar, the rate weakened from 11,972 in March 2026 to 12,906 in April, 13,621 in May and 14,076 in June (WFP, 2018–2026). The SCPR, which reports an April average of 12,922, attributes the decline to the widening official-parallel gap, increased demand for dollars to finance imports amid trade liberalisation, precautionary demand for foreign currency and the depreciation of the Turkish lira (SCPR, 2026). Commentators also pointed to the regional conflict involving Iran and the disruption of shipping through the Strait of Hormuz, which raised energy and import costs, and to the absence of active central bank intervention (Al-Koll, 2026). The World Bank's October 2026 outlook notes that "the conflict in the Middle East increased energy costs,

fueling inflation", and that the absence of an effective monetary policy framework leaves the economy vulnerable (World Bank, 2026a).

The CBS responded in late June 2026. On 25 June it raised the official rate to 118.5 new pounds for buying and 119.5 for selling, the third official devaluation in less than two months, and on 28 June to 121.5 and 122.5, while the parallel rate stood at around 128. This narrowed the official-parallel gap to about 4.9 per cent, and the central bank also narrowed the permitted exchange margin from 9 to 3 per cent (Feve, 2026). By 13 October 2026 the parallel rate had weakened again, to 140.5 new pounds per dollar, against an official rate of 122.5, according to a Syrian exchange-rate tracker (LiraScope, 2026). That is equivalent to 14,050 old pounds, close to the average level of 2024 and about 46 per cent more pounds per dollar than in February 2025.

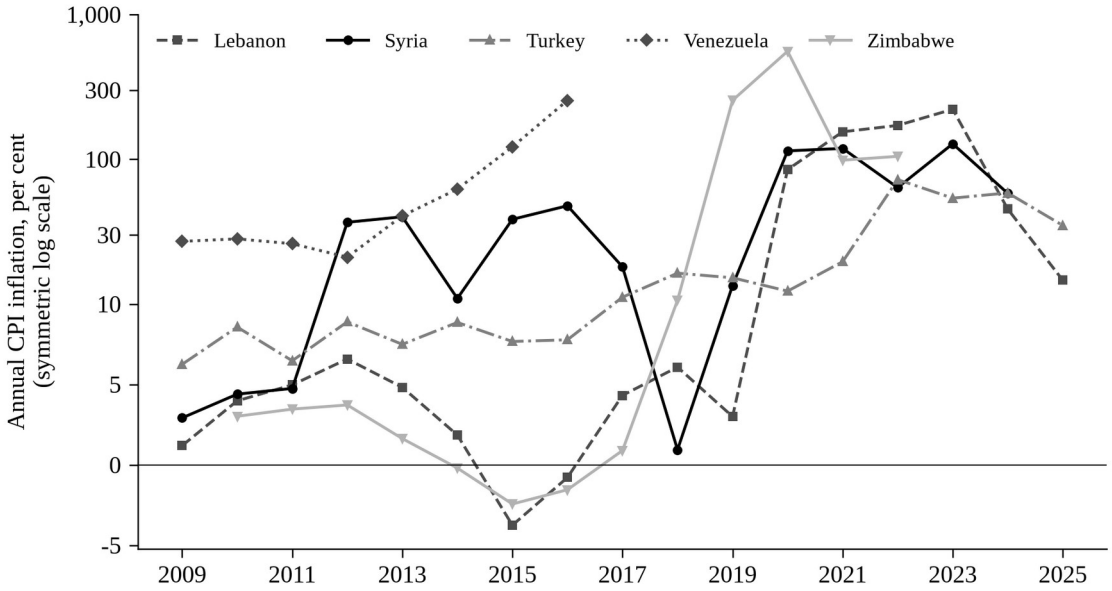
Inflation returned. Year-on-year consumer price inflation reached 27.5 per cent in April 2026, driven by fuel, transport, electricity and import costs (SCPR, 2026; World Bank, 2026a), and the World Bank projects average inflation of 21.4 per cent for 2026. The 50 per cent salary increase decreed in 2026 under Decrees No. 67 and 68 was partly eroded before it was paid, as traders raised prices by up to 25 per cent following the pound's decline (Feve, 2026). At the same time the real economy improved. Growth is estimated at 3.6 per cent in 2025 and projected at 8 to 10 per cent in 2026, supported by reconstruction, agriculture, the return of more than 3.7 million refugees and internally displaced people, and the government's recovery of oil fields in the north-east, which raised its share of oil production from about 20 to 88 per cent in February 2026 (World Bank, 2026a, 2026b).

10 Comparative Perspective

10.1 Why these four countries

Lebanon, Zimbabwe, Venezuela and Turkey were chosen because each illustrates a mechanism relevant to Syria. Lebanon shows the collapse of a long-standing peg in a banking crisis with frozen deposits, and it is directly linked to Syria. Zimbabwe shows hyperinflation under fiscal dominance, spontaneous dollarisation and repeated currency reforms. Venezuela shows the failure of redenomination without stabilisation. Turkey shows a redenomination that consolidated disinflation and a later episode of high inflation under unorthodox policy. Figure 9 compares annual inflation using the World Bank's World Development Indicators, and Table 4 summarises the main features.

Figure 9. *Annual consumer price inflation in Syria and comparator countries, 2009–2025*



Note. Symmetric logarithmic scale (linear between minus 10 and plus 10 per cent). WDI series end in 2016 for Venezuela and 2022 for Zimbabwe, so Venezuela's hyperinflation after 2016 and Zimbabwe's 2008 episode are not shown. Syria for 2020 to 2024 is taken from the World Bank annex because the WDI series ends in 2019. Source: World Bank (2026c); World Bank (2025a).

Table 4. *Comparison of currency crises*

Case	Main drivers	Peak inflation	Dollarisation	Redenomination
Syria (2011–2026)	War, monetary financing, loss of exports and reserves; Lebanese crisis and sanctions	Peak annual CPI about 128% (2023)	Partial; FX deposits 69% of total (2023)	Two zeros removed, 1 Jan 2026
Lebanon (2019–2025)	Banking collapse, frozen deposits, end of 1997 peg	221% (2023)	High; withdrawals in pounds at a loss	None
Zimbabwe (2007–2009; 2019–2024)	Fiscal dominance, money printing	89.7 sextillion % y/y (Nov. 2008); 557% (2020)	Full and spontaneous in 2009	Repeated currency reforms; ZiG in April 2024
Venezuela (2014–2021)	Fiscal dominance, oil collapse, controls	About 130,000% (2018, central bank)	Over 60% of transactions in dollars (2021)	3 zeros (2008), 5 (2018), 6 (2021)
Turkey (2001–2005; 2021–2025)	Crisis of 2001; later rate cuts amid high inflation	85.5% y/y (Oct. 2022)	Partial	6 zeros removed, 1 Jan 2005, after disinflation

Note. y/y = year-on-year. Source: World Bank (2025a, 2026c); Al Jazeera (2023, 2024); Hanke and Kwok (2009); Associated Press (2021); Mohamed (2019); BBC News (2004); Republic of Türkiye Ministry of Treasury and Finance (2022).

10.2 Lebanon

Lebanon maintained a peg of just over 1,500 pounds per dollar from 1997 until its banking system collapsed in 2019. Banks imposed informal limits on dollar withdrawals, and most depositors lost access to their savings. On 1 February 2023 the central bank moved the official rate to 15,000 pounds per dollar, a devaluation of 90 per cent, while the parallel rate was around 60,000 (Al Jazeera, 2023). Annual inflation rose from 3.0 per cent in 2019 to 84.9 per cent in 2020 and peaked at 221.3 per cent in 2023, before falling to 45.2 per cent in 2024 and 14.6 per cent in 2025 (World Bank, 2026c). The Lebanese case shows how a banking crisis can destroy a currency even without war, and how the gap between official and market rates becomes a hidden tax on depositors: withdrawals at the new official rate still implied a loss of about 75 per cent at market rates (Al Jazeera, 2023). It also shows that inflation can fall once the economy is largely dollarised and the government stops financing deficits through the central bank.

10.3 Zimbabwe

Zimbabwe's hyperinflation of 2007 and 2008 was among the most extreme on record. Hanke and Kwok (2009) estimate that monthly inflation peaked at 79.6 billion per cent in mid-November 2008, equivalent to an annual rate of 89.7 sextillion per cent, after the Reserve Bank had stopped publishing reliable data. They also show that the hyperinflation ended when "the entire economy spontaneously 'dollarized'" within weeks, and that prices

then fell in early 2009. Zimbabwe later reintroduced a domestic currency, which again lost value; in April 2024 it launched the gold-backed ZiG, with the governor stating that reserves of 285 million dollars were "more than three times cover" for the notes issued (Al Jazeera, 2024). WDI data show inflation of 255.3 per cent in 2019 and 557.2 per cent in 2020 (World Bank, 2026c). The Zimbabwean lesson for Syria is twofold: data collapse is a common feature of currency collapse, and new currencies backed by small reserves are vulnerable to the same fiscal pressures that destroyed their predecessors.

10.4 Venezuela

Venezuela removed three zeros from the bolívar in 2008, five in 2018 and six in October 2021 (Associated Press, 2021). Inflation reached 254.9 per cent in 2016 on the WDI series, which ends that year, and the central bank later reported inflation of about 130,000 per cent for 2018 (Mohamed, 2019; World Bank, 2026c). By 2021 more than 60 per cent of transactions were reportedly made in dollars, and businesses used the black-market rate as the reference for prices (Associated Press, 2021). Each redenomination simplified accounting for a time, but none addressed the monetary financing of the deficit, so the zeros returned. Venezuela is the clearest warning that redenomination is not stabilisation.

10.5 Turkey

Turkey removed six zeros from the lira on 1 January 2005, after inflation had fallen from about 70 per cent in 2001 to below 10 per cent with an IMF-supported programme (BBC News, 2004). This is the textbook case of a redenomination that followed rather than preceded disinflation and that consolidated credibility. Turkey's later experience is equally instructive. Under a policy of cutting interest rates despite high inflation, annual consumer inflation reached 85.51 per cent in October 2022 (Republic of Türkiye Ministry of Treasury and Finance, 2022), and the government introduced a scheme in December 2021 to protect lira deposits against depreciation (World Bank, 2022). WDI annual inflation was 72.3 per cent in 2022 and 58.5 per cent in 2024, falling to 34.9 per cent in 2025 (World Bank, 2026c). The Turkish lira matters directly for Syria because it circulates in the north, and the World Bank found volatility spillovers among the Syrian, Lebanese and Turkish currencies (World Bank, 2022).

10.6 What the comparison shows

Three common lessons emerge. First, in all four cases the decisive variable was the fiscal-monetary regime. Inflation fell in Zimbabwe in 2009 and in Lebanon after 2023 once

monetary financing stopped or dollarisation removed the option, and in Turkey after 2001 under a stabilisation programme supported by the IMF. Second, multiple exchange rates and large premiums act as hidden taxes on depositors, exporters and remittance recipients and push activity into informal channels, as in Lebanon and Syria. Third, redenomination works only as the final step of a stabilisation, as in Turkey in 2005, and fails when it replaces stabilisation, as in Venezuela. Syria in 2026 sits between these cases: it redenominated after a year of relative stability and fiscal restraint, but without the reserves, institutional independence and monetary framework that made the Turkish reform credible.

11 Discussion

The evidence assembled in this paper supports a layered explanation of the collapse of the Syrian pound. At the base lies a fiscal-monetary mechanism that is familiar from the literature on high inflation. The war destroyed the tax base and export earnings while raising spending needs, and the resulting deficits were financed primarily by borrowing from the central bank, as the World Bank puts it (World Bank, 2025a). Monetary expansion on this scale, in an economy whose output halved and whose residents were steadily shifting into dollars, would have produced a large depreciation even without any external shock. The 105-fold increase in base money, the 320-fold depreciation of the market rate and the 270-fold rise in consumer prices are three views of the same process, and the fact that prices rose faster than money is the signature of a collapse in money demand.

On top of this base sit the external shocks that explain the timing. The first collapse, in 2012 and 2013, coincided with the escalation of the war and the loss of territory and oil. The relative stability of 2016 to 2019 reflected reduced fighting and, crucially, continued access to the Lebanese financial system. The second and larger collapse began in late 2019, when that access was cut off by the Lebanese banking crisis, and was amplified by the Caesar Act in 2020, the COVID-19 pandemic, the Ukraine-related rise in commodity prices in 2022 and the earthquake of 2023. The World Bank's finding that the Lebanese pound Granger-caused the Syrian pound, and not the reverse, gives this sequence statistical support (World Bank, 2022). The relative weight of sanctions is harder to establish. The evidence suggests that sanctions deepened the scarcity of foreign exchange and the informality of payments, but that the currency was already falling before the Caesar Act took effect, and that it continued to come under pressure in 2026 after sanctions had been lifted.

The third layer is institutional. The CBS lacked both the reserves and the independence to conduct monetary policy. It managed the currency mainly by fixing an official rate, rationing foreign exchange, restricting imports and prosecuting informal dealers, and then devaluing when the gap with the parallel market became unsustainable. This approach repeatedly failed because, as the "recognizing reality" literature predicts, prices followed the parallel rate rather than the official rate (Gray, 2021; World Bank, 2023b). The official rate thus served mainly to tax those who had to use it, notably recipients of formal remittances, rather than to stabilise prices. Multiple official rates for different transactions added complexity without adding credibility.

The transmission evidence shows that the human cost of the collapse was borne largely through the labour market. Food prices in dollars at the parallel rate stayed within a range of roughly 34 to 104 dollars for the reference basket throughout 2015 to 2024, while the public-sector minimum wage fell to between about 12 and 26 dollars and the daily wage for unskilled labour to around 2 dollars. In a dollarised price system with pound wages, depreciation is equivalent to a cut in real wages. Remittances, the informal economy and humanitarian aid filled part of the gap, but they did so unequally. Households with relatives abroad were protected; those dependent on public wages and pensions were not.

The post-2024 period offers a natural test of how far political change and sanctions relief can stabilise a currency. The results are mixed. The appreciation of early 2025 and the brief deflation show that expectations and liquidity can move the exchange rate sharply, and the fiscal restraint noted by the IMF and the World Bank, including a small fiscal surplus in 2025, removed one of the main sources of money creation (IMF, 2025b; World Bank, 2026a). But the appreciation was partly the product of a cash shortage rather than a surge in confidence, and it did not last. By mid-October 2026 the parallel rate in old-pound terms was close to its 2024 level. The reasons cited by observers, namely rising import demand under trade liberalisation, precautionary dollar demand, the depreciation of the Turkish lira and the regional energy shock, all point to the same underlying weakness: a central bank with very small reserves and no established monetary framework cannot absorb shocks to the balance of payments (SCPR, 2026; World Bank, 2026a).

The redenomination should be judged in this light. It simplified transactions and removed the symbols of the previous regime, and the CBS reports that most old notes had been exchanged by August 2026. But it was introduced while the official and parallel rates were drifting apart and before the central bank had a credible framework, and the exchange process was slow and uneven, particularly in the north-east. The comparative evidence suggests that redenomination helps when it caps a successful stabilisation, as in Turkey in 2005, and is quickly undone when it does not, as in Venezuela. Syria's reform falls between these poles. Whether it becomes the Turkish or the Venezuelan case depends on what happens to fiscal policy, central bank governance and the exchange-rate regime in the next few years.

Finally, the paper's treatment of data quality has a substantive implication. The disagreement between estimates of basic indicators, such as the threefold range for 2024 inflation, is not merely a nuisance for researchers. It reflects the weakness of the institutions

that produce economic information, and it affects policy directly: wage indexation, budget planning and monetary policy all depend on knowing the inflation rate. The IMF's observation that "reliable economic data remain scarce but are essential" and its plan to support improvements in price, balance-of-payments and financial statistics are therefore an integral part of currency stabilisation, not a separate technical matter (IMF, 2025b).

12 Policy Implications

The analysis points to five sets of policy options. They are presented as options with trade-offs rather than as a single prescription, since the right sequence depends on political and security conditions that lie outside the scope of this paper.

The first is to end monetary financing of the budget and to make that commitment visible. The literature from Sargent (2013) onwards shows that high inflations end when the fiscal regime changes credibly. For Syria this means a budget financed by taxes, customs, oil revenue and concessional external support rather than by central bank advances, a legal limit on central bank lending to government, and regular publication of fiscal data. The trade-off is that tighter budgets constrain spending on reconstruction and social protection at a time of great need, which is why concessional external financing is important.

The second is to give the CBS a clear mandate and genuine operational independence, with price stability as its primary objective, and to rebuild its capacity. This includes publishing the monetary data that were withheld for more than a decade, developing instruments for managing liquidity, such as central bank certificates or a standing deposit facility, and establishing an interest-rate policy that offers positive real returns on pound savings. The IMF's 2025 technical-assistance programme on financial legislation, payment systems and central bank capacity provides a framework for this work (IMF, 2025a, 2025b). Without independence, any gains will remain hostage to fiscal pressure.

The third concerns the exchange-rate regime. The experience of 2020 to 2026 suggests that the CBS should keep the official rate within a narrow band of the market rate, as it began to do in June 2026 by narrowing the official-parallel gap and the permitted margin, and should move towards a single rate determined in a transparent interbank market (Feve, 2026). A unified rate would remove the implicit tax on remittances and exporters, bring informal flows into the banking system and improve price formation. The risk is that, without reserves, a unified floating rate could be volatile; a managed float with a clear intervention rule, supported by a reserve-building plan and possibly by external stabilisation support, would reduce that risk.

The fourth is to rebuild reserves and foreign-currency inflows. The obvious sources are remittances, which are already large but mostly informal, oil revenues now that the government controls most production, export recovery, and concessional finance from international and regional institutions. Policies that would help include allowing remittances

to be paid out in foreign currency or at the market rate, reducing the cost of formal transfers, encouraging diaspora investment, and avoiding requirements that force conversion at unfavourable rates, which the SCPR criticised in 2026 (SCPR, 2026). Rebuilding correspondent banking relationships after sanctions relief is a precondition.

The fifth concerns protection of the most vulnerable during stabilisation. Wage increases decreed without a credible exchange-rate anchor were partly eroded by prices within weeks in 2026 (Feve, 2026). Linking public wages and social transfers to a published, independently measured cost-of-living index, targeting cash transfers to households without access to remittances, and phasing subsidy reforms gradually would reduce the social cost of adjustment. Improving statistics, including a regularly published consumer price index and household survey, is a precondition for all of these measures.

The comparative cases add a warning against two tempting shortcuts. The first is relying on redenomination or currency design to restore confidence; Venezuela shows that this fails without fiscal and monetary change. The second is official dollarisation, which ended Zimbabwe's hyperinflation in 2009 but surrendered monetary policy and seigniorage, and which Zimbabwe itself later tried to reverse. For a country with Syria's reconstruction needs and political sensitivities, a credible national currency remains the more appropriate goal, but it requires the institutional foundations described above.

13 Limitations

This study has several limitations. The first and most important concerns data. The annual series rely on the World Bank's compilation of Syrian official data, which the World Bank itself treats with caution and which has been revised substantially. Recent estimates for 2023 to 2025 differ considerably between World Bank products, and the paper cannot independently verify which is closest to the truth. The money-supply series could not be analysed in detail because the authorities stopped publishing such data.

The second limitation concerns the exchange-rate series. Monthly parallel rates are available from WFP bulletins only from mid-2018 and with gaps; there is no consistent parallel series for 2011 to 2014, when the World Bank annex treats market and official rates as equal. Several widely used private trackers, including the one maintained by The Syria Report, could not be accessed for this study, and the World Bank's model-based real-time exchange-rate estimates for Syria were not used. The most recent observation, for October 2026, comes from a Syrian tracker website rather than from an institutional source. Interpolated months are flagged in the data, but the resulting monthly dollar values should be read as approximate.

The third limitation is that the paper is descriptive. It does not estimate causal effects, so statements about the relative importance of different causes rest on timing, on the existing econometric work of the World Bank and on the consistency of evidence across sources rather than on new identification. In particular, the separate effects of sanctions, the Lebanese crisis and domestic policy cannot be cleanly separated.

The fourth concerns coverage. National averages hide large regional differences. Syria has for years been divided into areas with different authorities, currencies and price levels; the north-west used the Turkish lira, the north-east was administered separately until 2026, and prices varied substantially across governorates (SCPR, 2026; World Bank, 2023a). The minimum wage applies only to public employees and parts of the formal sector, and the daily-wage series is a median across markets with changing coverage. Finally, the post-2024 period is very recent. Developments after mid-October 2026, including the full outcome of the redenomination and the effects of the regional conflict, are outside the scope of the paper.

14 Conclusion

The Syrian pound lost more than 99 per cent of its value against the US dollar between 2011 and 2024, falling from about 47 pounds per dollar in 2010 to an average of about 14,800 on the market in 2024. This paper has argued that the collapse is best understood as the product of a fiscal-monetary process, the financing of war-time deficits by the central bank in a shrinking and dollarising economy, on which a series of external shocks, above all the Lebanese banking crisis of 2019 and the sanctions of 2020, imposed its timing. The central bank's reliance on a fixed and frequently devalued official rate, on rationing and on multiple rates did not stabilise prices, because prices followed the parallel rate. The cost fell mainly on wage earners, whose real incomes collapsed, while remittances and informal dollar earnings protected some households and deepened inequality between those with and without access to foreign currency.

The period since December 2024 has shown both the potential and the limits of political change. Liquidity shortages and renewed confidence produced a sharp appreciation, inflation briefly turned negative, sanctions were lifted, the IMF returned and the currency was redenominated. Yet by October 2026 the parallel rate had returned close to its 2024 level in old-pound terms, inflation had revived, and the central bank still had small reserves and no established monetary framework. The experiences of Lebanon, Zimbabwe, Venezuela and Turkey point in the same direction: lasting stability requires the end of monetary financing, an independent and capable central bank, a unified and credible exchange rate, rebuilt reserves and reliable statistics. Removing zeros from the currency is the last step of such a programme, not a substitute for it. For Syria, the coming years will show whether the new pound becomes the symbol of a stable economy or another chapter in a long history of depreciation.

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Appendix A. Data Files and Scripts

All files are in the project folder that accompanies this paper. Values are in old Syrian pounds unless stated otherwise.

Table A1. *Data files and scripts*

File	Content
data/wb_macro_annual_2008_2024.csv	World Bank annex series 2008–2024, with derived remittances in US$ and market premium
data/wb_mpo_oct2026.csv	October 2026 Macro Poverty Outlook values, 2023–2026
data/inflation_alternative_estimates.csv	Competing inflation estimates (Table 3)
data/fx_parallel_monthly.csv	WFP monthly parallel rates and other point observations, with source codes
data/fx_parallel_monthly_interpolated.csv	Monthly parallel rate June 2018–June 2026 with interpolation flag
data/fx_official_decisions.csv	Official rate decisions (Table 2)
data/fx_premium_monthly.csv	Parallel-market premium (Figure 2)
data/cost_of_living_monthly.csv	Food basket, MEB and minimum wage in SYP and US$ (Figure 6)
data/daily_wage_unskilled_annual.csv	Annual median daily unskilled wage (Figure 7)
data/regional_inflation.csv	CPI inflation for Syria and comparators (Figure 9)
data/raw/	Original downloads: World Bank texts, WFP bulletins, HDX price file, WDI JSON, SCPR bulletin
scripts/build_data.py	Builds the tidy data files from transcribed and raw sources
scripts/make_figures.py	Produces Figures 1–9
scripts/build_paper.py	Builds paper.docx and paper.pdf
sources.csv	Source log with URLs and access dates

Appendix B. Monthly Parallel Exchange Rate

Table B1 lists the national-average parallel-market rate reported in the WFP market price bulletins. These are the observed values behind Figures 1, 2 and 6; months without a value were interpolated in the figures only.

Table B1. *Monthly parallel-market exchange rate, national average (old SYP per US$)*

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2018						441			453			
2019	502			552	575	589					691	
2020					1,600	2,505	2,262			2,339	2,638	2,795
2021	2,899	3,247	3,972	3,146	3,113	3,156	3,210	3,358	3,443	3,476	3,486	3,543
2022	3,586	3,634	3,848	3,884		3,977	4,032	4,342		5,069		6,307
2023			7,471	7,650			13,180			13,875		14,343
2024			14,104		14,957	14,907	14,954	14,826	14,822	14,922		
2025	11,684	9,622	10,112	11,084	10,392	9,753	10,114	10,718	11,312	11,584	11,871	11,827
2026	11,702	11,806	11,972	12,906	13,621	14,076						

Note. Blank cells: no value found in the bulletins consulted. 2023 values for March, April, July, October and December are end-of-month. April to June 2026 published in new pounds and multiplied by 100. Source: WFP (2018–2026).

Appendix C. Source Log

The file sources.csv lists every source consulted for this paper, with its URL, the date it was accessed and the use made of it in the text. All sources were accessed on 14 October 2026. The log also lists raw data files that were downloaded and stored in data/raw, so that each number in the figures and tables can be traced to a document.

Some sources could not be used. The full text of one IMF working paper on Syria could not be retrieved, and a 2019 newspaper report on the minimum wage could not be opened; neither is relied on for any number. Reuters articles that could not be retrieved in full are cited only for facts that also appear in their published summaries or in other sources.

Appendix D. Reproducing the Analysis

The analysis can be reproduced with Python 3 and the packages pandas, matplotlib and python-docx, together with LibreOffice for the PDF conversion. Running scripts/build_data.py rebuilds the tidy data files in data/ from the transcribed values and the raw files in data/raw. Running scripts/make_figures.py redraws Figures 1 to 9 in figures/ and writes the premium series. Running scripts/build_paper.py assembles paper.docx and converts it to paper.pdf; it runs the conversion twice so that the page numbers in the table of contents and the lists of figures and tables are correct.

Two choices affect the results and can be changed in the scripts. The first is the exchange rate used to convert pound values into dollars: the paper uses the parallel rate, while WFP bulletins mostly use the official rate. The second is the treatment of missing months in the parallel-rate series, which are filled by log-linear interpolation and flagged in data/fx_parallel_monthly_interpolated.csv.